

Before the  
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH & BEYOND INC. v.  
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

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**COMPLAINANT’S REPLY TO  
RESPONDENTS’ OPPOSITION BRIEF**

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Complainant hereby submits its Reply to Respondents’ Answering Brief, dated February 27, 2025 (Dkt. 111) (the “Opposition Brief”).<sup>1</sup>

## REPLIES TO OOCL’S PROPOSED FINDINGS OF FACTS

BBBY’s Proposed Findings of Fact and Conclusions of Law (“FOF”), filed December 13 and 18, 2024 (Dkt. 95, 98), are incorporated by reference. Citations to BBBY’s FOF are denoted by (“C\_\_\_”). BBBY’s Replies to OOCL’s Proposed Findings of Fact (“CFOF”), filed contemporaneously herewith, are incorporated by reference. Citations to BBBY’s CFOF are denoted by (“CR\_\_\_”).<sup>2</sup> Citations to OOCL’s Replies to BBBY’s FOFs, filed February 27, 2025 (Dkt. 112) (“RFOF”), are referenced as (“R\_\_\_”).<sup>3</sup>

## ARGUMENT

In its opposition, OOCL largely concedes BBBY’s claims. OOCL does not—because it cannot—answer BBBY’s evidence with competent evidence of its own.

Instead, OOCL employs a three-pronged strategy designed to distract from the proof set forth in BBBY’s opening brief. **First**, OOCL rests its defense on manufactured analyses created by OOCL employees after this proceeding was filed, and on self-serving testimony by the employees who created those analyses. These made-for-litigation analyses are biased, not credible, and are based on unreliable data from OOCL’s flawed CSAL allocation scheme—they do nothing to rebut the mountain of unrefuted contemporaneous evidence that proves BBBY’s claims. **Second**, in a transparent effort to lay the groundwork for an appeal seeking a change of existing law, OOCL

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<sup>1</sup> Unless otherwise specified, all defined terms herein take on the same meaning as in BBBY’s Amended Opening Brief, dated January 17, 2025 (Dkt. 107) (the “AOB”). Citations to information in the record are contained in BBBY’s Appendix (“App.” or “APP-\_\_\_”) or OOCL’s Appendix (“RX-\_\_\_”).

<sup>2</sup> References to OOCL’s Proposed Findings of Fact are denoted by (“RPFF”).

<sup>3</sup> Throughout its Opposition Brief, OOCL addresses references in BBBY’s AOB and FOF to the Amended Complaint (“1AC”) and faults them for not representing evidentiary value. (*See, e.g.*, Op. Br. at 13 n.10, 14.). The 1AC citations are intended to assist the Presiding Officer in matching evidence to the applicable allegations in the 1AC and demonstrate BBBY’s confidence that each such allegation is amply supported by the evidence in this action.

urges the Presiding Officer to ignore governing precedent to find that the Commission lacks jurisdiction here, and that *all* FMC ALJ proceedings are unconstitutional. But the Presiding Officer is bound to follow Commission precedent and controlling law, no matter how devoutly OOCL wishes that the law was different. **Third**, in rambling and hyperbolic fashion, OOCL quibbles with the sufficiency of BBY's evidence and repeatedly mischaracterizes the record to claim there is "no evidence" on elements that were fully addressed, with proof, in BBY's opening brief.

OOCL's tactics are unavailing. The overwhelming evidence shows that OOCL deliberately engaged in profiteering by stealing space from its BCO customers (including, but certainly not limited to, BBY) and selling it on the spot market, demanded extortionate surcharges and premium rates to carry freight, and took advantage of port congestion to realize an additional windfall in detention and demurrage fees. When BBY pushed back on OOCL's unlawful conduct, OOCL retaliated. OOCL should be held to account for its egregious violations of the Shipping Act.

**I. Count I ("Unjust and Unreasonable Failure to Meet Service Commitments under the Service Contracts"): OOCL's Failure to Meet Its Service Commitments Regarding MQC Commitments Was Unreasonable and Constitutes a Violation of 46 U.S.C. § 41102(c).**

**A. Count I, Element 2:<sup>4</sup> OOCL's acts or omissions occurred on a normal, customary, and continuous basis.**

This element is established, as OOCL fails to deny it. (R92.) OOCL attempts to blame its conduct on the COVID-19 pandemic, but Count I is based on policies, practices, and other systemic conduct that OOCL instituted *to capitalize on the pandemic*. Those policies included a deliberate strategy of failing to meet OOCL's service commitments to BBY and other customers. (AOB at 13-17.) OOCL concedes that its annual shipping volume *increased* throughout the pandemic (R119), and that its trans-pacific voyages ran at full capacity during that time frame. (R120-121.)

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<sup>4</sup> Element 1, that OOCL is a common carrier, is not disputed. Accordingly, the common carrier element will not be addressed in this Reply with respect to any of BBY's claims.

Essentially, OOCL argues *force majeure* made it impossible to fulfill its obligations under the BBY Service Contracts but OOCL never declared *force majeure*—and indeed, it was able to capitalize on pandemic disruptions to realize windfall profits while increasing shipping volume.

OOCL’s response to this element misses the point. Instead of addressing whether OOCL’s practices occurred on a normal, customary, and continuous basis, OOCL instead contends its practices were reasonable, which is a separate element. For example, OOCL disputes whether there were MQC shortfalls (*e.g.*, R93, 95, 99, 101-104, 109, 110), invokes self-serving analyses crafted to excuse those shortfalls (*e.g.*, R94-95, 101-04, 106, 108-12, 119-21), quibbles with the use of standard industry metrics such as MQC/52 for tracking MQC progress (*e.g.*, R96, 99, 113), and raises issues regarding end-of-contract drawdown amendments (*e.g.*, R111). This laundry list of issues spanning two annual service contract terms establishes that OOCL’s conduct was sustained and continuous, which is all that is necessary to prove this element.<sup>5</sup>

**1. OOCL’s acts or omissions occurred on a normal, customary, and continuous basis as to BBY itself.**

It is beyond cavil that BBY suffered from OOCL’s continuous misconduct over a sustained period of time. *First*, OOCL concedes that the shortfalls alleged by BBY of 624.15 FEUs for the 2020 Shipping Year and 1,363.26 FEUs for the 2021 Shipping Year are correct, and that BBY’s damages calculations accurately reflect “the difference between BBY’s original

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<sup>5</sup> Rather than engaging BBY’s claims head on, OOCL instead argues that the pandemic was not a “normal” period of time, apparently to argue that its practices did not occur “on a normal, customary, and continuous basis.” (*e.g.*, R92.) OOCL attempts to make much of the statistic, drawn from the report and testimony of BBY’s expert, John D. McCown, regarding the worldwide container volume “growth of 6,000,000 containers during the middle of a worldwide pandemic” in 2021. (R92.) McCown, however, put that raw number into context, testifying that such an increase in industry volume (representing about 7.4%) was lower than the decade average from 1995 through 2005, (C40.2), and obviously did not all go through Southern California. (McCown Dep. Tr. 165:18-166:5 [APP-1477-1478].) Moreover, the practices alleged herein continued for an extended time and spanned multiple annual service contracts—plainly enough to satisfy the “normal, customary, and continuous” requirement.

MQC . . . and the number of containers actually carried by OOCL.” (Opp’n Br. at 20.)<sup>6</sup> The failure to provide adequate space over two full shipping years plainly evidences a consistent pattern of conduct over time. Beyond the admitted shortfalls, BBY provided extensive evidence of OOCL’s ongoing MQC shortfalls throughout the 2020 and 2021 Shipping Years. (C93-95, 99, 101-104, 106, 109-110, 339-40 (citing, *e.g.*, P-0000801023 [APP-4418]); Exs. 326, 328-330).<sup>7</sup>

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] By January 2021, OOCL was on track to fulfill only 60% of its service commitment to BBY. (C99.)<sup>9</sup> Indeed, contrary to OOCL’s baseless claim that “no evidence” shows OOCL fell short, [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]<sup>10</sup>

<sup>6</sup> OOCL improperly attacks the reliability of McCown. (Op. Br. at 15.). OOCL’s contention is wrong and addressed in BBY’s Opposition to OOCL’s Motion to Exclude (the “*Daubert* Opposition”), filed contemporaneously herewith. Oddly, OOCL also faults McCown for relying on BBY’s allegations of MQC shortfalls, even though OOCL has admitted the shortfalls alleged by BBY are correct. (Opp’n Br. at 20 (citing RPF 566).)

<sup>7</sup> As discussed below under in Arg. §§ I.D, VI.A-B., OOCL misconstrues the nature of BBY’s statistical evidence and its substantive attacks on that evidence fail.

<sup>8</sup> OOCL purportedly denies this proposed finding of fact but admits the substance through its response. OOCL’s statement that its allocations “were accompanied by ‘the ability to provide additional allocations three weeks in advance of a vessel’s sail date’”, is unresponsive and provides no evidence to the contrary.

<sup>9</sup> OOCL quibbles with Jacobus’s testimony that by January 2021 BBY faced significant backlogs due to space constraints from carriers, including OOCL, by arguing that Jacobus did not recall specific details as to BBY during her deposition. (R98.) However, Jacobus, who is Yusen’s Director of Client Management and Operations, did testify as to the industry’s situation, including BBY, which is not in any way contingent on her remembering specific episodes of BBY orders “past due” years after the fact.

<sup>10</sup> OOCL curiously “denies” this fact by claiming it was BBY’s “failure to tender sufficient cargo” (R100). [REDACTED]

OOCL’s failure continued through the time period covered by the 2021 Service Contract.

(C105, C106.)<sup>11</sup> [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] That argument, which focuses on the “numerosity” of BBY’s complaints, is a *non sequitur* with no basis in the Shipping Act. It is undisputed that OOCL’s failures to allocate space sufficient to meet MQC were protracted, that BBY documented these failures, and that OOCL internally admitted it was falling short on its obligations to BBY.

**2. OOCL’s acts or omissions occurred on a normal, customary, and continuous basis as to OOCL’s other BCO customers.**

OOCL fails to rebut the evidence demonstrating that its space allocation policy extended to other BCO customers, as well. (C111-118.) OOCL’s internal documents acknowledge its widespread failure to meet its service commitments to huge swaths of its North American BCO shipping customers, in light of OOCL’s policy to redirect its capacity to higher-priced freight.

[REDACTED] OOCL’s contention thus rests on the incredible premise that—rather than OOCL’s practices being unreasonably suited to meeting its service commitments for its customers—*the fault lies with all of OOCL’s customers instead, despite the fact that many of those customers were desperate for space and literally begging OOCL to meet its commitments.*

<sup>11</sup> [REDACTED]

(R114-118.) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] OOCL’s position—that it sought to meet its service commitments by imposing a unilateral allocation system, whose only failure was that it didn’t actually work for any of OOCL’s service contract customers—is self-defeating. OOCL’s own internal documents demonstrate that, while systematically shorting its fixed-price BCO customers, it was reallocating space to floating-rate NVO and premium customers:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

During the 2020-2021 shipping year, it was common for OOCL to experience disputes with its customers as to fulfillment of MQC service commitments. (C112.) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

OOCL’s only response to this evidence is to claim that evidence as to “other shippers” is irrelevant to this case, which OOCL seeks to recast as a breach of contract action solely involving conduct against BBY. (R94.) But BBY’s allegations are broader than that, and implicate OOCL’s overarching unreasonable scheme, as has been conclusively established. OOCL employee Mitchell admitted that for *all* of OOCL’s BCO customers, OOCL failed to achieve MQC under those customers’ respective service contracts with OOCL. (C111 (quoting Mitchell Dep. Tr. 178:24-179:4 [APP-1722].) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

**B. Count I, Element 3: OOCL’s practices and regulations relate to or are connected with receiving, handling, storing, or delivering property.**

OOCL argues that Count I fails to state a claim because it relates to “transportation” and not “regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” (Opp’n Br. at 94-100.) OOCL’s argument is inconsistent with prior orders by the Presiding Officer in this case and binding Commission precedent.

As discussed in the Presiding Officer’s Partial Decision Order, the question of whether 46 U.S.C. Section 41102(c) extends to rate disputes with respect to service contracts has been resolved by the U.S. Court of Appeals for the D.C. Circuit, relying on Supreme Court precedent. (Order at

11, FMC 23-02, Dkt. No. 29 (Sept. 28, 2023) (the “Partial Decision Order”) (citing *Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc. v. United States*, 883 F.2d 93, 98-99 (D.C. Cir. 1989) (Ruth B. Ginsburg, J.) (footnote omitted) (discussing practices including price mark-ups and rebates)) [APP-142].) In that case, the D.C. Circuit specifically upheld “the FMC’s constant rule on the ground that the Commission, in the reasonable exercise of its rulemaking authority, may interpret section 10(d)(1) to prohibit forwarder discrimination in the charges billed to customers.” *Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc.*, 883 F.2d at 100. Therefore, as the Presiding Officer has already stated in this case, “shipping rates may be considered part of receiving, handling, storing, or delivering property.” (Partial Decision Order at 12 [APP-143].)<sup>12</sup>

OOCL’s cases cited in support of its contentions are outdated and inapplicable here:

- *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2 U.S.M.C. 106, 113-14 (1939) is inapposite because, unlike here, the “measure of the total transportation charge [was] not in issue in [those] proceedings.” Indeed, *National Customs Brokers* itself specifically rejected an attempt “[t]o confine ‘reasonable practice’ jurisdiction to physical cargo handling services performed at the terminal”. *Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc.*, 883 F.2d at 98-99.
- OOCL contends that *D.L. Piazza Co. v. West Coast Line, Inc.*, 3 F.M.C. 608, 616 (FMC 1951), stands for the proposition that 46 U.S.C. Section 41102(c) “does not apply to matters relating to vessel space, and in particular to allocating space assertedly reserved for the complainant to other customers instead.” (Opp’n Br. at 95.) However, that case simply held that even though the shipper’s rate called for its exclusive use of the ship, the carrier’s decision to offer **other unused vessel space** to others was a decision not connected to the handling, storing, or delivering of the shipper’s property. *D.L. Piazza Co.* at 616. Upon appeal in that case, jurisdiction over matters such as this case was confirmed. *D.L. Piazza Co. v. West Coast Line*, 210 F.2d 947, 948 (2d Cir. 1954) (explaining that “the Federal Maritime Board has exclusive primary jurisdiction over” matters “under the Shipping Act”)).
- OOCL miscites *Beaumont Port Comm’n v. Seatrains*, 3 F.M.B. 556, 561 (1951), since it only regards language from the 1916 Shipping Act. In addition, they do not adequately address other decisions they cite for support, such as *Definition of Package*, wherein the

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<sup>12</sup> OOCL aims to distinguish *National Customs Brokers* because it related to freight forwarders, as opposed to ocean carriers. (Opp’n Br. at 95 n.6, 99.) This argument was already rejected in the Partial Decision Order, which found that the Commission’s jurisdiction extends to such issues concerning carriers as well as forwarders. (Partial Decision Order at 11-12 (citing *Bills of Lading – Incorporation of Freight Charges* 3 U.S.M.C. at 112) [APP-142-143].)

Commission was asked to interpret the term “package” as defined in the Carriage of Goods by Sea Act (“COGSA”) but determined that the predecessor to 46 U.S.C. Section 41102(c) did not provide “clear and unmistakable language” authorizing it to interpret COGSA. 23 S.R.R. 111 (1985). This citation is limited to the application to COGSA, not at issue here.

By contrast, current binding precedent, including *MCS Industries* and *OJ Commerce*, supports BBY’s position.<sup>13</sup> OOCL’s argument boils down to a plea that both *MCS Industries* and *OJ Commerce* should be disregarded simply because they hold carriers liable for conduct similar to OOCL’s. OOCL may not like those decisions, but they are binding on this tribunal—as well as being well-reasoned, correct, and thoroughly consistent with the Partial Decision Order.

### C. Count I, Element 4: OOCL’s practices are unjust and unreasonable.

OOCL’s defense to this element focuses almost exclusively on an attempt to justify OOCL’s failure to reasonably provide space accommodations under its Service Contracts *with BBY* (while ignoring OOCL’s similar, systemic failures with respect to other BCO customers). Accordingly, OOCL fails to refute the evidence demonstrating that, during the 2021 and 2022 Shipping Years, OOCL’s *overall* practices regarding space allocation were unreasonable:

- In addition to the well-founded evidence establishing OOCL’s failure to allocate space to BBY specifically, OOCL failed to meet its service commitments to many *other* shipping customers, as shown through OOCL’s own internal and contemporaneous documents and testimony in this case.
- OOCL’s failures were driven by its unreasonable policies, undergirded by its flawed and unworkable CSAL scheme and shoddy booking systems, of discriminating against fixed-rate service contract customers in favor of higher-priced freight at or near spot market rates.

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<sup>13</sup> OOCL argues that the Presiding Officer should ignore the Commission’s final decision in *MCS Industries*, advancing three arguments to justify such a departure from controlling law: (1) *MCS Industries* was decided on default, (2) *MCS Industries* does not mention the cases cited above, and (3) it is administratively unwise to rely on *MCS Industries*. OOCL also attempts to distinguish *OJ Commerce*, arguing that it “does not address either the cases cited above or the long-term Commission interpretation that they reflect.” (Opp’n Br. at 98.) While it is, of course, true that *MCS Industries* was decided on default, the decisions in that case, unanimously affirmed by the Commission, involve similar theories to those asserted here, and the Commission’s decisions followed extensive litigation concerning the viability of such theories. Nor was there any requirement that the Commission examine ancient, irrelevant practices in reaching either decision. In *MCS Industries*, the Presiding Officer determined that “[t]he Commission has an obligation to determine the reasonableness of practices by regulated entities that are alleged to violate the Shipping Act”, including, as alleged here, a practice of failing to satisfy service contract commitments and favoring higher priced cargo from other shippers. *MCS Indus., Inc.*, 2022 WL 458569 at \*6.

- The policies OOCL used to enrich itself included (1) coercing extracontractual and arbitrary peak season surcharges (“PSS”) and (2) disfavoring allocating space under its customers’ regular service contracts (and rates) in favor of premium contracts (and premium rates).

[REDACTED]

- Throughout the pandemic, OOCL had the capacity to meet its service commitments to BBY and other North American BCO customers, but chose not to in a deliberate effort to enrich itself during the chaos of the pandemic.

OOCL’s defense of its actions against BBY rests upon self-serving data analyses created by OOCL after the fact to pretend that any shortfall was BBY’s fault. (Opp’n Br. at 21.) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

OOCL is also wrong on the merits of the single issue that it does address: OOCL’s failure to provide reasonable space accommodations to BBY under the Service Contracts. Throughout its Opposition Brief, and due in large part to OOCL’s mischaracterization of Count I as a “breach of contract” claim, OOCL repeatedly faults BBY for not providing evidence in support of a standard that is inapposite to BBY’s claims at issue here (tying OOCL’s shortfalls under the Service Contracts to shipments that “OOCL allegedly refused to carry or denied a booking by

BBBY” (Opp’n Br. at 16 (citing RPFF 567)), and in obtuse fashion asking “[i]f BBBY booked or attempted to book thousands of containers with OOCL that OOCL allegedly declined to carry during shipping years 2020 and 2021, where is the evidence of these declined or attempted bookings?” (Opp’n Br. at 19-20.) OOCL’s argument is a straw man—BBBY’s theory is not about OOCL rejecting individual bookings, it is about OOCL failing to allocate space (and selling it to the highest bidder), and it is the lack of fairness or reasonableness in that conduct, including OOCL’s deviations from historical industry practice, that the Presiding Officer must assess. (AOB at 18-22 (discussing cases).)<sup>14</sup>

OOCL’s other arguments also fail. **First**, OOCL fails to rebut BBBY’s shortfall calculations. **Second**, OOCL fails in its attempt to shift the blame from itself to BBBY by relying on its flawed and unreliable CSAL allocation scheme. **Third**, OOCL’s attempt to transform routine drawdown amendments into releases of Shipping Act claims is meritless and unavailing.

### **1. OOCL concedes shortfalls of 624.15 FEUs for the 2020 Service Contract and 1,363.26 FEUs for the 2021 Service Contract.**

The fact that OOCL’s fell short on its service commitments is undisputed. In sum:

- **As to the 2020 Service Contract**, OOCL provided only approximately 1,475.85 FEUs of space, or 70.3% of its service commitment, representing a 624.15-FEU shortfall during the 2020 Service Contract year. (C101-102, 339.)

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<sup>14</sup> BBBY has been crystal clear about the nature of its claims throughout this proceeding. For example, OOCL’s Interrogatory No. 1 asked that BBBY: “Identify all containers by container number about which you complain of a refusal to carry or denial of a booking by Respondents”—*i.e.*, the precise straw man theory that OOCL now advances. (Dep. Ex. 326 [APP-3343].) BBBY cleared up OOCL’s misunderstanding, responding “that Respondents’ Interrogatory No. 1 misconstrues the allegations and causes of action in Complainant’s Verified Complaint in this action, which does not recount specific ‘refusal[s] to carry or denial[s] of a booking by Respondents’ with respect to particular individual container numbers, but instead alleges, inter alia, that Respondents **systematically** failed to meet their service commitments to Complainant and, upon information and belief, other shippers by failing to make space available to Complainant (and, upon information and belief, other shippers with service contracts) in the first place—a failure **antecedent** to the association of a particular container number with an identified booking.” (*Id.* (emphasis in original).) OOCL’s decision to waste briefing space on this debunked straw man theory is improper but understandable, because the overwhelming evidence shows that BBBY has proved the claims it alleged.

- **As to the 2021 Service Contract**, OOCL provided only approximately 2,432.74 FEUs of space, or 64.1% of its service commitment, representing a 1,363.26-FEU shortfall during the 2021 Service Contract year. (C104, 340.)

OOCL concedes that these shortfall calculations accurately reflect “the difference between BBY’s original MQC in [the 2020 and 2021 Shipping Years] and the number of containers actually carried by OOCL.” (Opp’n Br. at 20.)<sup>15</sup> Indeed, that is exactly what BBY’s Proposed Findings of Fact stated:

- [REDACTED]

- [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

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<sup>15</sup> OOCL misleadingly contends that BBY’s Director of International Supply Chain, Patrick Hackett, “testified at deposition that BBY had no evidence of any such shortfalls”. (Opp’n Br. at 13 (citing RPFF 550-59).) That is a mischaracterization of Hackett’s testimony because Hackett provided testimony in his personal capacity, not as a designated corporate representative, and answered OOCL counsel’s question in that context. Whether Hackett himself personally analyzed OOCL’s shortfalls is not probative of the fact of those shortfalls, which OOCL admits actually occurred. OOCL’s hyperbolic claim that “no testimony or other evidence” shows that BBY personnel personally conducted analyses of OOCL’s shortfalls fails in light of the fact that (1) [REDACTED], (2) OOCL internally acknowledged these shortfalls at the time (e.g., R176), and (3) OOCL concedes that its ultimate fulfillment did, in fact, fall short by 624.15 FEUs for the 2020 Service Contract and 1,363.26 FEUs for the 2021 Service Contract (Opp’n Br. at 13.) OOCL pointedly fails to mention that Hackett also testified that BBY *was* contemporaneously aware that OOCL was failing to meet its container space commitments to BBY under the Service Contracts *and raised that issue to OOCL at the time*. (CR292, 550, 560.)

Although it admits the amount of the shortfalls, OOCL confusingly contends that BBY failed to adequately track or communicate OOCL’s shortfalls. (Opp’n Br. at 13.) Not so. BBY repeatedly challenged OOCL’s failure to meet its service commitments. For example:

[REDACTED]

[REDACTED]

- On October 30, 2020, Patrick Hackett raised concerns about OOCL’s unwillingness to meet BBY’s projected shipping needs, writing to Paul Pastor, “[I]f I’m reading that attached correctly, it appears that OOCL is only willing to cover approximately two-thirds of our Nov/Dec projection request, which is not good!” (P-0000215635 [APP-4394].)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

- BBY’s booking agent, Yusen, also faced persistent difficulties securing space from OOCL for BBY and regularly pressed OOCL for assistance. (C27.)

## 2. OOCL cannot shift blame for its unjust and unreasonable practices to BBY.

Although OOCL concedes BBY's alleged shortfall numbers, OOCL now argues, based on self-serving, *post hoc* documents OOCL created solely for purposes of this litigation, OOCL's shortfalls were BBY's fault, not OOCL's. Basically, OOCL asks the Presiding Officer to conclude that BBY chose, in a multi-year fit of self-immolating irrationality, to pay an extra \$36.4 million in spot market rates for freight that BBY *could* have shipped via OOCL.<sup>16</sup>

Besides failing the test of common sense, OOCL's argument fails for several additional reasons. *First*, it ignores the evidence showing that OOCL's practices extended not only to BBY, but also to its other North American BCO customers. *Second*, it fails to address the evidence demonstrating the unreasonableness of the practices OOCL used to achieve this outcome: (1) OOCL's unilateral constraint of allocations through its extracontractual, flawed "CSAL" space allocation scheme; (2) OOCL's coercion of PSS and other extracontractual surcharges from its customers; and (3) OOCL's coercion to force BCOs to enter into premium contracts.

OOCL does not deny that it experienced unprecedented profitability during the pandemic, realizing huge windfall profits while BBY and OOCL's entire North American BCO customer base suffered. (C54-67.) For several of BBY's proposed findings on this issue, OOCL admits that the analyses described appear in the McCown Report but disingenuously claims that "there is no supporting data included with his report." (R54-58, 63-64.) That is false: [REDACTED]

[REDACTED]

[REDACTED]

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<sup>16</sup> Presumably, OOCL would contend that its entire North American BCO customer base, which suffered alongside BBY as a result of OOCL's policies, also "chose" to fall short on their OOCL contracts and pay astronomical spot market prices.

[REDACTED]

[REDACTED]

OOCL does not deny that its rates throughout this time period were high, (R65), and simply responds that “most of the NVOs with whom they did business had service contracts with OOCL.” (R157.) But OOCL concedes that those NVOCC contracts were “adjusted based on the market outlook in the near term” (R157.1) and admits that it was “*quite flexible*” in pricing on shorter-term contracts and looked to the “open market” to reset rates (R157.2 (emphasis added).) OOCL thus concedes the core of BBY’s allegations: that OOCL deliberately failed to meet service commitments to fixed-price BCOs, in favor of selling that space at or near spot market rates.

[REDACTED]

[REDACTED]

[REDACTED] Accordingly, the unrefuted evidence proves that OOCL achieved enormous profits throughout the pandemic by applying unreasonable and unjust practices to the detriment of its shipping customers, including BBY.<sup>19</sup>

<sup>17</sup> All of these materials appear in McCown Report Appendix D (“Sources Considered”) and, where not publicly available, were provided to OOCL. (McCown Report, App. D [APP-3929-3932].)

<sup>18</sup> [REDACTED] ) Such a response fail to address NVO contracts at all, much less why fulfillment percentages would not indicate OOCL’s preference for those contracts over its fixed-rate contracts with BCOs. The argument also ignores that *any* MQC moved under NVO or premium contracts inherently took space away from regular, fixed-price BCO contracts that had unfulfilled MQC. And finally, as mentioned elsewhere, OOCL’s attempt to blame BBY for failing to provide cargo under the Service Contracts ignores that the data refers to large numbers of OOCL’s customers. It is illogical and implausible to contend that OOCL’s low MQC fulfillment rates are the result *solely of each and every one of those customers simultaneously failing to tender cargo rather than the conduct of OOCL itself*. As OOCL’s own expert, Steffen, testified (and as OOCL admits), a booking system which achieves its stated goal only a low percentage of the time is not a reasonable system. (C163.)

<sup>19</sup> This larger point goes largely un rebutted by OOCL, which provides inadequate responses that variously seek to address pieces of evidence in isolation, ignoring their broader context, or (incorrectly) claims they are irrelevant to this matter because they do not relate *specifically* to BBY. (R78-90.) Both strategies are unavailing, because when read together with,

[REDACTED] evidence demonstrates that OOCL’s complained-of practices were seen at the time *by its own employees* as creating concerns as to OOCL’s violations of the Shipping Act. And, of course, BBY’s causes of action here are not narrowly circumscribed solely to OOCL’s violations as against BBY but to OOCL’s *systematic* violations of the Shipping Act as against vast swaths of its North American BCO customers (of which BBY is a prime example) as well, which the evidence likewise establishes.

**i. OOCL used its flawed CSAL allocation scheme to unjustly and unreasonably enrich itself while failing to meet its service commitments.**

For its defense to Count I, OOCL relies on self-serving analyses created during this litigation by its employees Karen Lam and Glenn Metzger, neither of whom is individually credible (C609-629), and which contend that any shortfalls were the fault of BBY. Those analyses are unreliable because they rest upon a rotten foundation: OOCL's CSAL scheme.

BBY's AOB discussed at length the flaws inherent in CSAL and why OOCL's imposition of CSAL was an unreasonable practice. (AOB at 24-34.) OOCL fails to dispute *any* of these points in its Opposition Brief, instead using CSAL as the core of its defense. OOCL's attempt to take refuge in CSAL is unavailing for many reasons, including:

- OOCL does not dispute that the use of CSAL was not a contractual term in OOCL's service contracts, but was unilaterally imposed by OOCL. (R171, 203.)
- OOCL contends that it explained CSAL to BBY during the bid process and detailed how allocations would be determined, yet it fails to identify any evidence supporting this contention. (CR313, 314.)
- OOCL fails to rebut that it imposed CSAL as a rigid, "use it or lose it" allocation system. (R182.)
- OOCL does not refute the fact that CSAL allocation often did not align with BBY's actual needs. Even after Hackett emphasized CSAL's inflexibility to Mitchell, stating, "Why are you making your allocation decisions so far in advance? This timing will never work for us", OOCL refused to adjust its internal CSAL allocations to accommodate those needs. (C183, CR245).

• [REDACTED]

- OOCL rejected entire bookings if a booking was for more space than allocated on that particular week/sailing, even if the allocation itself was short of MQC/52. (C223.)
- OOCL manipulated its CSAL allocation schedule to favor customers who were willing to pay PSS or premium rates. (C270.)
- CSAL was widely derided by OOCL employees as inefficient and unfair, with challenging requirements that made booking difficult. (C189.)

Instead of addressing the well-documented insufficiency of CSAL, OOCL relies on self-serving testimony by Lam and Metzger that provide vague, unsubstantiated praise of CSAL (*e.g.*, R139, 166). OOCL also claims that “every carrier employs some type of system” to manage space allocation, (R140), and that “one system can never suit all customers need[s].” (R139.)

These generalized responses fail to address the evidence of CSAL’s systemic failure to serve OOCL’s customers in a reasonable manner. In numerous instances, OOCL responds to systemwide evidence (*i.e.*, OOCL’s own internal documents analyzing its MQC shortfalls to the vast majority of its fixed-rate BCO customers) discussing CSAL’s failure to reasonably manage OOCL’s service commitments solely by referring to Lam or Metzger’s analyses—which are by their own terms concerned solely with BBY and do not address OOCL’s broader policies (*e.g.*, R153.1, 160, 163, 166-68).<sup>20</sup>

OOCL also fails to rebut the fact that, as its customers complained of OOCL’s failure to provide cargo space, OOCL took punitive actions when those customers raised concerns. (R199.)

<sup>20</sup> Throughout its responses, OOCL attempts to claim that statistics, such as MQC/52, which prorates a shipper’s MQC under a service contract throughout the year, are irrelevant. (*e.g.*, R153.1 (citing Hackett testimony that “MQC/52 . . . is not how seasonal shippers like BBY operate.”); 170.) OOCL’s contention is not well formed and is in any case contrary to its own internal documents, which use those metrics to measure performance under service contracts throughout a shipping year, (C169).

Moreover, Jim Mitchell, BBY’s sales representative, testified during his deposition that “the CSAL allocation is the contract MQC divided by 52.” (C175.)

he Presiding Officer may take notice of OOCL’s failure to meet these intermediate metrics, as their absence from the text of the Service Contracts does not invalidate the unreasonableness of OOCL’s conduct, and such metrics are, in any case, useful to understand the context of that conduct.

Because CSAL was not a contractual term in OOCL’s service contracts, there was no basis for OOCL to unilaterally impose its CSAL allocation scheme on BBY in lieu of actually honoring its service commitment.<sup>21</sup> OOCL claims that its CSAL allocations were made based on “a customer’s communicated needs and available space in light of the relevant service contract *and other factors*” (R173 (emphasis added)), demonstrating that at bottom, CSAL was a discretionary scheme that OOCL could twist to its benefit. The proof is in the pudding—CSAL, as applied, resulted in massive shortfalls to BBY and virtually OOCL’s entire North American fixed-price BCO customer base. OOCL does not deny that it retained unilateral discretion to create CSAL allocations, whether or not the allocations lined up with BBY’s needs, projections, or requests, or with OOCL’s service commitments to BBY. (R173-75, 203.) In the end, OOCL concedes that CSAL operated as a take-it-or-leave it ultimatum, as described by BBY’s Hackett: “OOCL’s commitment, I think, at the end of that, *regardless of what we asked for*, was whatever was in CSAL, and then that’s when they would commit to move.” (R178.)

CSAL could not be accessed directly and thus was opaque to OOCL’s customers (R141), who were forced to rely on OOCL’s employees to manually transfer data from OOCL’s externally facing booking request system into OOCL’s actual internal booking system (R141-141.2). [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] This issue, combined with OOCL’s policy of *not even entering* booking requests that exceeded CSAL allocations into its booking system, (C191-191.2), increased the likelihood that a customer’s booking requests would never even be acted upon, and fatally

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<sup>21</sup> OOCL’s own employees testified, as OOCL admits, that OOCL was not permitted under the BBY Service Contracts to unilaterally determine how its MQC would be delivered by lanes or by week. (R175.)

undermines the reliability of OOCL’s booking records. As a result, the system was heavily derided by OOCL’s employees, as OOCL admits. (R192.2.)

CSAL also resulted in artificial patterns of allocation that OOCL’s own expert deemed unreasonable. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

OOCL admits that its CSAL allocations did not align with BBY’s needs, and OOCL would not adjust its internal CSAL allocations to meet those needs, instead blaming BBY for “late-made space requests” despite BBY providing its space projections *two months ahead of time*. (R183.)

**ii. OOCL’s booking system was flawed.**

OOCL’s request for evidence of declined or attempted bookings (Opp’n Br. at 20 (citing RPFF 567)) is particularly misplaced because of the demonstrable inadequacy of OOCL’s booking system. As noted above, CSAL was inflexible. As part of that inflexibility, OOCL refused to input booking requests made above OOCL’s internal CSAL allocation into its actual internal booking system. (C191-191.1.) OOCL contends that excess bookings would be “pended” (R191-191.1.)—but in fact, a “pended” booking was effectively placed in limbo, such that it functioned as a denial, as Metzger conceded in his testimony (R223, 229.3.) There is no evidence that OOCL’s manual process operated effectively to shift “pended” (effectively declined) bookings into confirmed bookings in time. And, as discussed above, OOCL would not make up what it unilaterally considered to be missed CSAL bookings. Indeed, CSAL allocations never approached MQC/52. With the knowledge that if they tried to book more than OOCL’s CSAL allocations to them, their

bookings would be “pending”, rejected, or not acted upon, at all, OOCL’s customers necessarily needed to look to book carriage via other means. Those customers cannot be blamed for making insufficient bookings when OOCL made it impossible to book its entire service commitment level.

OOCL fails to rebut the evidence that its booking system was inadequate.

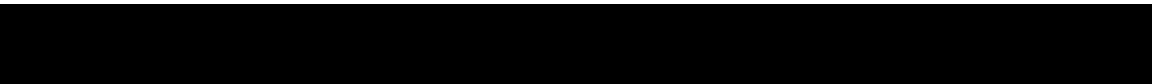
documents show that in September 2021, OOCL declined over 37.9% of customer booking attempts. (R213). OOCL admits rejections were common, but tries to shift the blame to its customers, (R212; *see also* R215), and ignore its own employees' admission that CSAL lay at the bottom of many rejections (R216-18.) In other instances, OOCL blames its own failures on BBY booking agent Yusen, even though such failures were systemic and spanned numerous customers. (R225.) Strikingly, ***OOCL admits that it would decline bookings even if those bookings were within its own CSAL allocations*** (R226-227) and fails to rebut evidence that its booking windows presented onerous requirements that its customers could not effectively meet (R229.)<sup>22</sup>

<sup>22</sup> OOCL’s claim that its “manual review process” ensured “each customer received the best possible service” is demonstrably incorrect. For example, OOCL claims, based solely on the testimony of its employee Murdoch (whose responsibilities focused on compliance and risk and not on handling customer bookings), that it would follow up with customers if there was some error in a customer’s booking request. (*e.g.*, R206, 209, 225.1-3.) That testimony is not credible, and is in any event contrary to the evidence, based on testimony from OOCL’s own purported “booking expert”, Metzger, that shows that OOCL did not consistently provide explanations to its customers, including BBBY, when bookings were declined or canceled. (R233.) (Notably, with respect to R233, OOCL incorrectly claims that the

Contemporaneous records demonstrate that BBBY was not at fault for the shortfalls. At times, especially during peak periods or at BBBY's request, Yusen prepared reports detailing booking acceptances and rejections. (C25.1.) Exhibit 276, a report prepared by Yusen (Jacobus Dep. Tr. 129:8-130:15 [APP-960-961]), shows an 80% booking acceptance rate for week 22 but only 56% for week 23. (APP-3335.) In week 23, from Yantian to LAX, OOCL allocated 16 FEUs under CSAL. BBBY booked 10, yet none were accepted. Likewise, in week 23, from Yantian to NYC and SAV, OOCL allocated 14 FEUs under CSAL, BBBY booked 10, but all were declined. (APP-3335.) Exhibit 278, similarly reflects a high rate of declined bookings. (APP-3336.)<sup>23</sup>

### iii. PSS/surcharges.

OOCL baselessly contends that there is “no evidence” that OOCL coerced BBBY (OOCL is again silent as to other customers) into accepting PSS and other surcharges. OOCL relies simply on the fact that surcharge amendments were signed by the parties, with no further analysis (*e.g.*, R263-64.) This is no rebuttal at all; the evidence shows that OOCL was able to coerce its customers to pay PSS *because OOCL was starving customers of space* if they did not agree to pay surcharges:

-  *see also* R269.)
- OOCL admits its employee testified that OOCL intended its increased PSS rates to make OOCL's service contract rates closer to spot market rates. (R265.)
- OOCL admits that PSS was intended to be imposed *only* during peak periods of shipping volume (R267), but does not deny that it used the (unsubstantiated) excuse of high shipping volume throughout the 2020 and 2021 Shipping Years to impose PSS *as a year-round price adjustment* to the rates previously agreed to under its service contracts with its BCO customers, including the Service Contracts with BBBY. (R268-269.)

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citation underlying C233 “relates to the validation of invoices for D&D.” (R233.) That is flatly incorrect: that portion of Metzger's testimony concerned CSAL and booking issues.)

<sup>23</sup> OOCL incorrectly contends that Exhibits 276 (P-0000158466) and 278 (P-0000285534) “are not included in the record and should therefore not be considered.” (R137.4.) That statement is inaccurate and inexplicable. Both exhibits were introduced by OOCL's counsel during the deposition of Amanda Jacobus, (Jacobus Dep. Tr. 129:8-12 [APP-960]; 142:17-25 [APP-964]), and included in BBBY's Appendix.

- OOCL’s response to C273 is striking: OOCL clearly uses the “extraordinary event” represented by the pandemic and resultant “trading conditions” which “led to constrained container space capacity for a period of two years” as its justification for its imposition of year-round PSS charges. (R273.)

- OOCL likened its practice of conditioning space on payment of PSS to a “hostage” situation. (R280.)
- OOCL “trimmed” its CSAL allocations in favor of customers willing to pay PSS. (R271.)

#### iv. OOCL’s use of premium contracts

The evidence also demonstrates that OOCL coerced its customers to enter into “premium” contracts and shifted allocations to those premium rates. OOCL’s September 2021 internal management presentation presents this scheme starkly:



OOCL’s defense of its use of premium-rate contracts is convoluted and unavailing. OOCL primarily relies on the purported booking analysis conducted after the fact by its employee, Metzger. (Opp’n Br. at 28.) Here again, Metzger’s analysis is narrowly focused on BBY, and says nothing about OOCL’s behavior as to its other customers, many of which also had premium contracts during the relevant time period. (*e.g.*, Metzger Tr. 39:17-48:14 (discussing booking activity solely under BBY contracts) [APP-1599-1601].)<sup>24</sup>

<sup>24</sup> As Metzger’s deposition testimony makes clear, his analysis is addressed to the narrow topic of whether OOCL, which took its booking instructions from BBY as to which contract (*i.e.*, regular vs. premium) a particular shipment should be booked under, subsequently contravened BBY’s booking instructions by “shifting” space from the contract designated by BBY’s booking instructions (*i.e.*, the regular Service Contracts) to another contract (*i.e.*, the premium contracts). (Metzger Dep. Tr. 63:22-64:12 [APP-1605]; 114:23-115:16 [APP-1618].) That specific issue, however, is ultimately immaterial to BBY’s causes of action and presentation of the evidence here. As is clear from BBY’s AOB (AOB 47-50), OOCL’s “shifting” of space from regular service contracts to premium contracts *occurred prior*

OOCL’s scheme to coerce customers<sup>25</sup> into paying premium rates is well documented:

- OOCL employee Mike Young identified OOCL’s premium contracts as a source of regulatory liability for OOCL, which was a key issue discussed in OOCL’s internal September 2021 Executive Presentation. (R307, 308, 310.)
- OOCL admits that an internal OOCL review conducted in April 2022 of the variance between rates for cargo OOCL moved under its customers’ regular service contracts against those customers’ premium contracts during the same period showed a variance of over \$56 million. (R302.)<sup>26</sup>

[REDACTED]

- OOCL contends that “BBBY knew that the [premium] contracts were for additional space.” (R298, 299.) Of course, the “additional space” was a need that OOCL itself manufactured by under-allocating space through its CSAL scheme.

[REDACTED]

#### v. OOCL’s made-for-litigation booking analyses are unreliable.

As discussed above, OOCL relies, again and again, on self-serving, purported “booking analyses” created by OOCL employees Lam and Metzger after this case was initiated, to aid in OOCL’s defense. Because these documents are, in many cases, OOCL’s *only* line of defense against BBBY’s claims, they merit close examination—and fail to hold up.

*First*, OOCL’s entire presentation of these statistics is based on data from CSAL. As described above, CSAL was a deeply flawed tool for unilaterally allocating<sup>27</sup> space to OOCL’s

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*to any customers providing OOCL with booking instructions*, via OOCL’s pressure campaign to force its customers, including BBBY, to (1) agree to premium contracts thatran concurrently with those customers’ regular service contracts in the first place, and then (2) prioritize using premium contracts for the space that OOCL’s customers needed and direct booking under those premium contracts.

<sup>25</sup> As to customers other than BBBY, OOCL repeatedly responds to evidence of OOCL’s premium contract pressure campaign solely with the discredited Metzger analysis—but that is no rebuttal at all, because Metzger’s analysis related solely to BBBY, and not those other customers. (e.g., R293, 297, 301, 304, 307, 308.)

<sup>26</sup> OOCL attempts to undermine this review by claiming it was a “hypothetical variance”. That is contrary to the record, in which the review’s author, DelPrete, retracted his use of “hypothetical”. (Delprete Dep. Tr. 67:8-68:7 [APP-357].)

<sup>27</sup> The Presiding Officer should note OOCL’s use of the term “allocation”. Examples can be found throughout OOCL’s description of its analyses: where OOCL uses this term, it means *OOCL’s unilateral space allocations under its flawed CSAL scheme*. (See, e.g., Opp’n Br. at 23 (“*OOCL analyzed the amount of space it allocated to BBBY for*

customers. Fundamentally, then, regardless of whether the data underlying OOCL's analyses is accurate per OOCL's databases, those databases are unreliable because they are based on the distorted baseline of CSAL, and therefore must be discounted.

**Second**, OOCL's analyses were not created during the relevant time period at issue in this case (2020-2022) and do not reflect any information assembled or any witnesses' personal knowledge contemporaneous to that time period. Rather, the analyses were created at the behest of OOCL's lawyers specifically for purposes of this litigation. (C614-614.3, 616, 619-620.5.) They thus bear no resemblance to the facts reflected in contemporaneous evidence.

**Third**, the process by which these documents were created, as disclosed in multiple employee declarations generated by OOCL late in discovery, demonstrate that OOCL carefully curated the process to ensure that the analyses would be pure unreliable propaganda.<sup>28</sup> OOCL itself "defined the scope", "determined the importance of each requirement", and "broke down business objectives", which included "understanding the business context and the business needs from Trans-Pacific Trade", "defining the scope, examining the technical impact, and determining the importance of each requirement to focus on critical aspects first," and "breaking down the

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*each service loop*, how much space was actually provided to BBBY (*consisting of OOCL's space allocation (CSAL) and over-allocation, that is, amounts above BBBY's allocation*)" (emphasis added).) As such, these "allocations" and the data premised on them bear no relation to the amount of space that OOCL actually provided.

<sup>28</sup> The declarations of [REDACTED] Stanley Cheung, who were tasked with initially pulling the data purportedly underlying OOCL's analyses, contain the following language: "I specifically performed the following work: Reviewing the business scenario and requirement: It involved understanding the business context and the business needs from Trans-Pacific Trade. It also included defining the scope, examining the technical impact, and determining the importance of each requirement to focus on critical aspects first." [REDACTED]

[REDACTED] Decl. of Stanley Cheung ¶ 8 (OOCL\_0000254158 (-254161) [RX-000658])). In a similar vein, the Declaration of Micky Wong states: "I specifically performed the following work: Transforming the business scenario into technical requirements: It involved analyzing the business needs from Trans-Pacific Trade and translating them into specific technical specifications. This meant breaking down the business objectives into actionable steps and ensuring that every requirement was clearly defined for the technical team to implement. Presenting the detail of data collection process and the corresponding logics to Trans-Pacific Trade: It entailed explaining how the data was gathered, the rationale behind each step, and how the logic applied to the business scenario. It includes creating visual aids and power point to illustrate the workflow and logic." (Decl. of Micky Wong ¶ 8.a-b. (OOCL\_0000254148 (-254152)) [RX-000649]) These definitions of the respective individuals' work-scope demonstrate that work was designed by OOCL to create a carefully curated, self-serving spin of the historical data.

business objectives into actionable steps and ensuring that every requirement was clearly defined for the technical team to implement”. These employee admissions are thinly veiled euphemisms for “I was asked to find and present data for purposes of this litigation that would put OOCL in the best possible light, regardless of the facts as they existed in 2020-2022.” As such, none of OOCL’s analyses should be credited as reliable evidence.

Similarly, Metzger’s deposition testimony and certain exhibits introduced during his October 31, 2024 deposition under the purported “Second Question” Metzger was asked to review should be discounted for the same reasons. (Opp’n Br. at 27.) For purposes of this litigation, the Second Question OOCL asked of Metzger was to analyze booking behavior under the 2021 Service Contract in relation to CSAL allocations. (Metzger Dep. Tr. 28:1-15, 126:20-128:24 [APP-1596, 1621].) As Metzger admitted during his deposition, his analysis of the Second Question relied on how BBY’s booking activity under the 2021 Service Contract “related to CSAL.” (Metzger Dep. Tr. 130:22-131:22 [APP-1622].) Given the self-serving nature of these documents and their view through the flawed prism of CSAL, it is not surprising that Metzger testified, “What I’ve learned through this process that I’m doing today, that it tells a different picture. It tells a different story.” (Metzger Dep. Tr. 159:12-24 [APP-1629].) Of course, that “different story” is OOCL’s attempt to recast data and evidence originating from the relevant time period itself through documents created after the fact at its lawyers’ behest for purposes of this litigation, relying on data solely from its unreliable CSAL system.

A prime example of OOCL’s made-for-litigation analyses’ unreliability is the graph depicted on page 23 of OOCL’s Opposition Brief: OOCL gives the game away through its own description that the “lower pink line is OOCL’s CSAL (space allocation agreed to between OOCL and BBY) for a given week.” This graph is notable for several reasons:

- **First**, OOCL’s statement is wrong in describing its CSAL allocations to BBY as “allocation *agreed to* between OOCL and BBY” (emphasis added); CSAL was a unilateral imposition by OOCL and was set *entirely* at OOCL’s discretion. (C173.)
- **Second**, the graph shows that the “lower pink line” provides sporadic volumes of weekly allocations, with some weeks not receiving any allocations while those that do have at least some allocation would not even come close to the full MQC of cargo space that OOCL committed to provide BBY under the Service Contracts.
- **Third**, when comparing the “lower pink line” with the gray bars (which purportedly represent confirmed bookings) a clear pattern emerges: ***BBY used every bit of space it could get from OOCL.***

### 3. The drawdown amendments are irrelevant to OOCL’s responsibility for its unjust and unreasonable practices.

OOCL’s argument that contractual modifications, such as drawdown amendments, operate to release Shipping Act claims is both legally flawed and contrary to binding FMC precedent. The Commission has made clear that its obligation to adjudicate Shipping Act violations remains intact even when the relevant facts also could give rise to other claims between the parties, or even when the parties have already obtained relief for such other claims in another forum. *See MCS Indus., Inc. v. MSC Mediterranean Shipping Co. S.A.*, FMC Dkt. No. 21-05, 2024 WL 95383, at \*7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, FMC Dkt. No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at \*10-11 (FMC May 10, 2006). Shipping Act claims are distinct from breach of contract claims, as they require a statutory analysis of a carrier’s overall practices beyond those directly affecting the complainant. *MCS Indus.*, 2024 WL 95383, at \*7.

Drawdown amendments are a standard industry practice designed to reflect the total containers actually carried during a contract year—not a measure of whether a carrier has acted reasonably in fulfilling its service commitments. As BBY’s former employee Klosowsky testified, such amendments do not account for instances where shippers attempted or requested to book space but were declined by carriers, nor do they reflect whether carriers actually met Minimum Quantity Commitment (“MQC”) obligations. (Klosowsky Dep. Tr. 265:7-16 (“A. What

was recorded in terms of shipments was less than the MQC, but it did not record the number of declinations or sailings that were available to meet the original MQC, so this was a courtesy done by the carriers so that there wouldn't be any argument at the end of the contract.”) [APP-1302].)

Critically, a drawdown agreement is not a “release” of any Shipping Act claims.<sup>29</sup> Allowing carriers to use standard commercial adjustments as a shield against liability for deceptive conduct would undermine the protections of the Shipping Act and legitimize bait-and-switch tactics that the FMC has already condemned. As the Presiding Offer explained in *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, the case cited by OOCL, (Opp’n Br. at 26 n.21), although “the practice of reducing MQCs to reflect the volume of cargo actually shipped is consistent with the industry-wide practice in the ocean transportation industry . . . [i]t is not a just and reasonable practice to lead parties through a course of conduct, and through written representations, to believe that an MQC will be reduced or rolled over and then to instead seek to impose punitive liquidated damages provisions once the term of the contract has expired.” Dkt. No. 13-07, 2014 WL 5316345, at \*30 (ALJ April 17, 2014) . Accordingly, *Global Link Logistics* stands for the simple principle that the Shipping Act requires ocean carriers to deal with their customers reasonably and that, relevant here, OOCL cannot wield drawdown amendments (which themselves are designed as a reasonable industry accommodation to avoid unnecessary conflict) as a fig leaf for its own unreasonable course of dealing with BBY and other shippers. The drawdown amendments in this case do not contain any language releasing claims or forgoing statutory damages, and merely adjust the final MQC closer to the amount actually carried. OOCL’s conduct throughout the service contract that *led* to the drawdown adjustments is at issue in this proceeding.

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<sup>29</sup> Indeed, even *actual* releases of Shipping Act claims, such as those contained in litigation settlements, are subject to review and approval by the Commission, which remains charged with ensuring compliance with the Shipping Act even if two parties wish to settle a private complaint proceeding.

**D. Count I, Element 5: OOCL’s practices and regulations are the proximate cause of the losses claimed by BBY.**

OOCL fails to rebut this element, as discussed below as to reparations. (Arg. § IV.A.)

**II. Count II (“Unjust and Unreasonable Assessment of Detention and Demurrage Charges”): OOCL’s Policy of Imposing Unreasonable Detention and Demurrage Charges Constitutes A Violation of 46 U.S.C. § 41102(c) & 46 C.F.R. § 545.5.**

**A. Count II, Element 2: OOCL’s policies and practices of imposing unreasonable detention and demurrage charges occurred on a normal, customary, and continuous basis.**

OOCL’s Opposition Brief fails to address this element. Accordingly, this element is established. OOCL admits that BBY correctly tabulated OOCL’s challenged D&D charges. (R345-46.) McCown Report Appendix C, in conjunction with Ex. 329 (P-0000353819 [APP-3358] (described below in Arg. § VI.A.1) presents, in summary form, a list of the containers for which OOCL charged BBY excessive and unreasonable D&D charges. Because these charges were assessed over a period of many months, they suffice to establish that the challenged conduct occurred on a normal, customary, and continuous basis.

**B. Count II, Element 3: OOCL’s policies and practices of assessing unreasonable detention and demurrage charges relate to and are connected with receiving, handling, storing, or delivering property.**

OOCL admits this element. (R347.) Accordingly, this element is established.

**C. Count II, Element 4: OOCL’s policies and practices of assessing unreasonable detention and demurrage charges against BBY are unjust or unreasonable.**

**1. OOCL’s unreasonable detention and demurrage rates are unjustified as a means of compensating OOCL’s direct or opportunity costs associated with container movement.**

OOCL’s Opposition Brief fails to contest that its D&D rates are unjustified as a means of compensating itself for any claimed direct or opportunity costs. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] (R365 (no response).) This failure even to attempt to respond to this key analysis and conclusion by McCown is an independent reason to find in BBY's favor, particularly where OOCL admits, in its own words, that "the FMC's incentive principle provides that demurrage and detention charges in the container shipping industry should primarily function as financial incentives to promote the efficient movement of cargo." (R368.) OOCL's conduct is thus in clear conflict with the Commission's analysis on remand in *TCW II*. See *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, FMC Dkt. No. 1966(I), 2025 WL 516256, at \*10 (FMC Feb. 13, 2025) ("*TCW II*") ("historically any compensatory function of [D&D] charges was intended to reimburse ocean carriers only for additional costs incurred after free time expired.") (citing Interpretive Rule on Demurrage and Detention, 85 Fed. Reg. 29638, 29651 (May 18, 2020)).

**i. Direct costs.**

As to whether its D&D charges are justified to defray direct costs, OOCL's arguments fail. OOCL's primary arguments are (1) its D&D rates were "competitive with its peers in the market", (e.g., R344, 348, 350 (citing RPFF 781, 782, 784)), and (2) "OOCL's DD charges need to be competitive with its peer competitors' rates. If lower than market, shippers have an incentive to use OOCL's containers as storage." (R350.)

*First*, it is not compelling that OOCL's D&D rates were similar to its peers. (Opp'n Br. at 39 (citing RPFF 782, 783).) [REDACTED]

[REDACTED]

[REDACTED]

OOCL also relies on distinguishing the operations of Trailer Bridge, the benchmark used by McCown, from itself. (RPFF 782, 783.) [REDACTED]

[REDACTED] Otherwise, OOCL fails to engage with McCown’s rate analysis. (R353-358.) McCown’s analysis used sound economic principles and the best publicly available data to compare OOCL’s D&D rates with its direct ownership costs.<sup>30</sup> (R353-357.)

*Second*, OOCL provides no support for its argument that “OOCL’s DD charges need to be competitive with its peer competitors’ rates. If lower than market, shippers have an incentive to use OOCL’s containers as storage.” (R350.) That contention is not supported by *any* evidence whatsoever. It is also illogical given (1) the unrebutted evidence of the heightened levels of OOCL’s D&D charges, (2) OOCL’s argument that its charges were in line with its competitors, (3) the unrebutted evidence, as to BBY specifically, that it had no incentive to use containers as storage because demurrage charges were more expensive than warehousing goods, (R312 [sic]),<sup>31</sup> and (4) the absence of evidence that any disincentive would have dissipated if OOCL’s charges were more in line with its actual costs. The argument that OOCL’s D&D rates needed to be “*more than 100 times* the actual daily carrying cost of the containers”, (C356), or “*61 times* that total

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<sup>30</sup> OOCL provides no reliable evidence to refute that analysis, or McCown’s conclusion that OOCL used its D&D charges to drive profit. (R358.) OOCL’s only responses are to (1) summarily argue that its charges incentivized container flow (ignoring the broader context of congestion and disruptions), (2) bring up a single inapposite anecdote regarding BBY’s efforts to move containers in the Spring of 2022, and (3) cite testimony by Jensen as to opportunity costs (discussed further below) that in any case only discusses the “risk” of costs without providing any evidence that OOCL ever *actually* suffered from a lack of containers (indeed, the evidence shows OOCL’s ships sailed full during the pandemic, as OOCL admits, thus precluding the possibility of any opportunity costs). (R362.)

<sup>31</sup> OOCL’s R312 [sic] entirely fails to address McCown’s well-reasoned analysis, instead raising self-defeating testimony from Stupnik that BBY’s full warehouses impeded its ability to retrieve containers from marine terminals. Instead, that testimony shows how the incentive principle during the pandemic was unachievable: no amount of charges could incentivize the movement of containers in such circumstances.

overall cost for demurrage situations and *126 times* the overall cost for detention situations”, (C357), in order to “incentivize” container flow is simply not credible.

## **ii. Opportunity costs.**

As to whether its D&D charges were justified by purportedly lost opportunity costs, OOCL admits that its Trans-Pacific voyages were at or near full capacity throughout the pandemic, demonstrating that there was no “opportunity cost” during that time period. (R362-63.)<sup>32</sup> Accordingly, “OOCL sets its detention and demurrage rates not in order to compensate itself for the direct or opportunity costs associated with the use of its containers but as a means of driving revenue.” (R365 (no response by OOCL).) OOCL admits that it sought to, and did, profit from the D&D charges in addition to covering its costs, (R385-386), and elsewhere admits that it profited from its charges from cargo moving through Los Angeles/Long Beach, (R386), precisely where BBY moved the majority of its cargo under the Service Contracts. Imposing D&D charges to drive profitability during well-documented supply chain disruptions is plainly unreasonable.

## **2. OOCL assessed unreasonable detention and demurrage charges against BBY.**

OOCL misleadingly describes its arguments as addressing “required elements of a detention and demurrage claim under [Section] 41102(c)”. (Opp’n Br. at 31.) But what OOCL goes on to describe, rather than the actual elements identified in BBY’s AOB and herein, are not “elements” of a claim under the Shipping Act but the balancing test called for by the U.S. Court of Appeals for the D.C. Circuit in *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024) (“*TCW*”) and elaborated by the FMC on remand in *TCW II*.

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<sup>32</sup> OOCL does create a back-of-the-napkin “opportunity cost” calculation, but its numbers are unsupported and disconnected from any data or evidence at all. (R363.)

OOCL incorrectly describes *TCW* as requiring the FMC to determine violations under 46 U.S.C. Section 41102(c) by “look[ing] at individual shipments and days to determine whether the ocean common carrier improperly charged detention or demurrage for particular days.” (Opp’n Br. at 31.) What OOCL urges, however, is the very kind of “brightline” rule that *TCW* forbids. *TCW*, 106 F.4th at 1115. What the framework developed under *TCW* and *TCW II* endorses, however, is a “case-by-case” balancing test that considers all the evidence to determine whether, ***under the totality of the circumstances***, D&D charges were unreasonable. *See TCW II*, 2025 WL 516256 at \*4 (reasonableness is assessed by “balancing how a particular charge fits within the incentive principle to further the primary purpose of promoting freight fluidity alongside other arguments and extenuating circumstances raised by the parties to determine if they are relevant to assessing reasonableness and if so, whether they outweigh the finding under the incentive principle.”).<sup>33</sup> The Commission was careful to note the open-ended nature of its inquiry: “The Interpretative Rule also states that ‘[n]othing in this rule precludes the Commission from considering factors, arguments, and evidence in addition to those specifically listed in this rule.’ 46 C.F.R. § 545.5(f).” *Id.*

Here, there is no dispute that the D&D charges assessed by OOCL occurred during the global COVID-19 pandemic and resultant port congestion crises. These circumstances applied to thousands of containers of BBBY cargo shipped via hundreds of shipments over the course of two years with disputed charges totaling \$7.8 million. In contrast, *TCW II* involved a single shipment of a single container over a single holiday weekend with disputed charges of \$510. *See id.* at \*2. If “facts matter”, as OOCL insists they do, these disparate facts between the present case and *TCW*

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<sup>33</sup> Indeed, the very passage of *TCW* quoted by OOCL in a lengthy block quote stands for just that proposition: the FMC must “consider the broader context of freight fluidity throughout the supply chain” and “at a minimum, provide a logical explanation for its view.” (Opp’n Br. at 37-38 (quoting *TCW*, 106 F.4th at 1117-18).)

*II* certainly do, and it would be contrary to the standard applied in *TCW II* to ignore those distinct facts by latching onto a single factor (*i.e.*, whether a port was nominally open or not on a given day) to determine BBY’s claims under 46 U.S.C. Section 41102(c).<sup>34</sup>

*TCW II* recognizes that the “promotion of freight fluidity” may be impacted by a variety of circumstances other than the single factor that OOCL identifies. *See TCW II*, 2025 WL 516256 at \*5 (“[T]he goal of the incentive principle is to ensure that reasonable detention charges ‘promote freight fluidity,’ a concept that is broader than simply the quickest equipment return and which requires balancing competing incentives. *See* 46 C.F.R. § 545.5(c)(1).”) Indeed, there are a number of incentives to shippers, their logistics agents, and other stakeholders (*e.g.*, truckers) that are inherent to those actors without the need for D&D charges to incentivize them. *Id.* at \*6.

OOCL admit that *TCW*’s touchstone is the incentive principle, and “in general the Commission will consider the extent to which [charges] are serving their intended primary incentivizing purpose.” (Opp’n Br. at 31-32 (quoting *TCW*, 5 F.M.C. 2d at 200).) *TCW* found unreasonable certain D&D charges assessed on days when the relevant port was closed because it was impossible for the shipper to return the equipment on those days. But it does not logically follow, as OOCL argues, that *TCW* also commands the inverse result, *i.e.*, that D&D charges are ***always*** reasonable on days when a port is open, regardless of any other factors. *TCW* does not command the Presiding Officer to ignore evidence that port congestion issues, such as those that prevailed during the pandemic, effectively stalled the flow of containers over a sustained period.

OOCL’s argument that each charge must be evaluated on its own is an attempt to create an impossible standard. The Commission stated in *TCW II* that “each demurrage and detention ***case***

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<sup>34</sup> OOCL claims that it “confirmed” the “terminals were open on each occasion that charges were assessed and issued daily broadcasts of that information along with terminal requirements for pickup of loaded containers and return of empty containers in the Southern California area.” (R344.) None of OOCL’s cited evidence supports that claim.

under section 41102(c) would be decided on its own facts.” *TCW II*, 2025 WL 516256 at \*7 (quoting Interpretive Rule, 85 Fed. Reg. at 29642) (emphasis added); *see also TCW*, 106 F.4th at 1118 (finding the “FMC [] commit[ted] to making a circumstantial, fact-bound inquiry in the interpretive rule”).) But that applies not only to facts relating to individual, container- and day-specific charges, but also to broader, over-arching factual circumstances that directly and indirectly impacted multiple containers over longer periods of time. Each *case* must be evaluated on its own, but each *charge* must be assessed in light of all of the facts and circumstances—here, including the pandemic’s historic and sustained disruption of ocean shipping.

As to purported “extenuating circumstances” that OOCL seeks to raise in order to excuse its conduct, each is addressed below. For example, to the extent OOCL relies on the language in the Service Contracts, *TCW II* explained that:

This argument misapprehends the Commission’s oversight authority over shipping contracts, as the SCO explained and which the Commission affirms. *See I.D.*, 3 F.M.C.2d at 28. “*Ocean carriers and marine terminal operators (and ocean transportation intermediaries) do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c).*” 85 Fed. Reg. at 29648. *TCW II*, 2025 WL 516256 at \*8 (emphasis added).

*TCW II* also minimized the importance of dispute resolution and arbitration policies, explaining that “[t]he existence of these policies weighs toward reasonableness, but it is not dispositive and is outweighed by more significant considerations in the reasonableness determination.” *Id.* at \*9. Moreover, a shipper’s mere “awareness” of issues affecting container flow does not render charges reasonable where, as here, the shipper was “unable to act on this knowledge to return the equipment earlier when [a port is] open.” *Id.*

Finally, the other cases that OOCL discusses (Opp’n Br. at 34) are unavailing:

- *Hapag-Lloyd, A.G. -- Possible Violations of 46 U.S.C. § 41102(c)*, FMC Dkt. No. 21-09, 2022 WL 3093193 (ALJ Apr. 22, 2022) (Initial Decision): This case, an enforcement case, concerned “eleven empty containers returned from one to eleven days after free time expired” and does not stand for the test that OOCL advances. *Id.* at \*1. The full passage

containing the language quoted by OOCL relates to a punitive civil penalty calculation (not at issue here) and states: “Hapag-Lloyd’s policy and practices do not comply with the demurrage and detention rule. Therefore, a significant penalty is required to deter future violations and ensure compliance with the demurrage and detention rule. However, that penalty must be proportional to the violation established, particularly where BOE did not establish a violation for all eleven shipments or for all days of detention. This factor weighs in favor of a higher penalty.” *Id.* at \*39. This actually ***finds a violation*** by the carrier and, although it acknowledges that the complainant there did not establish a violation for “all eleven shipments or for all days of detention”, it still found the factor of “deterrence and future compliance” weighed in favor of penalizing the carrier. *Id.* at \*38-39. Thus, this case stands precisely for the opposite principle that OOCL asserts: a day-by-day, container-by-container analysis is unnecessary for finding a 46 U.S.C. Section 41102(c) violation.

- *Access One Transport, Inc. v. COSCO SHIPPING Lines Co. Ltd.*, FMC Dkt. No. 24-13, 2024 WL 2976551 (ALJ June 4, 2024) (Order Denying Partial Motion to Dismiss): This cites to an order denying the respondent carrier’s motion to dismiss, which made no factual findings. Indeed, the order states that “[t]he motion does not seek to dismiss the alleged section 41102(c) violation and this order does not address that allegation.” *Id.* at \*1. Instead, the order relates to claims under 46 U.S.C. Section 41104(a)(3) relating to dual-transaction requirements. Thus, this order is irrelevant to BBY’s Count II claims here.
- *Anderson International Transport – Possible Violations of Sections 8(A) and 19 of the Shipping Act of 1984*, FMC Dkt. No. 07-02, 2013 WL 9808666 (FMC June 25, 2013) (Order Affirming in Part, Reversing in Part, and Vacating in Part Initial Decision on Remand): This proceeding did not concern 46 U.S.C. Section 41102(c) claims, but instead claims that the respondents had improperly operated as an ocean transportation intermediary under sections of the Shipping Act and other regulations not at issue in this case, which do not entail an evaluation of reasonableness. This citation is thus inapposite.

Troublingly, OOCL accuses BBY’s counsel of failing to cite the *TCW* cases, writing:

[T]his case is governed by the Commission and court decisions in *TCW*. Yet you will search in vain for any reference to that governing case either in BBY’s Table of Cases or in the text of the Complainant’s Brief (or in the McCown Report). This failure cannot be excused by a plea of ignorance (justifiable or not), as Respondent specifically called the D.C. Circuit precedent to the attention of the Presiding Officer and Complainant by way of Respondent’s Notice of Supplemental Authority, filed on July 15, 2024.

(Opp’n Br. at 34-35.) But the Commission did not issue its decision in *TCW II* until ***after BBY’s***

***AOB was filed***, and BBY’s brief ***clearly cited and discussed TCW*** in the following section:<sup>35</sup>

Accordingly, the reasonableness of OOCL’s D&D Charges to BBY are analyzed in accordance with the “incentive principle”. (C324 (*Evergreen Shipping Agency*

<sup>35</sup> Moreover, McCown is not an attorney and was under no obligation to discuss the *TCW* cases in his Expert Report.

(*Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113, 1115 (D.C. Cir. 2024) (the incentive principle “provides the ‘reasonableness’ of detention charges will be judged by ‘the extent to which . . . [they] are serving their intended primary purposes as financial incentives to promote freight fluidity.’ § 545.5(c)(1).”)).) The D.C. Circuit has held that there are no “bright line” rules for determining whether complained-of D&D charges are just or reasonable, and that the Commission must consider the specific facts and circumstances as a whole on a case-by-case basis. *Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113, 1117-18 (D.C. Cir. 2024).

(AOB at 56.) OOCL’s accusation is frivolous, and OOCL should retract it.

**i. Port congestion and other factors resulting from the COVID- 19 pandemic significantly disrupted the flow of containers.**

OOCL’s repeated contention throughout its response to BBY’s Count II claims is that its D&D charges “created an incentive to move containers.” (*e.g.*, R350.) That argument fails to engage with the overwhelming evidence that port congestion and other factors interfered with timely container return and pickup for the entirety of the time period at issue here. (C40-53.) The majority of OOCL’s D&D charges coincided with the periods of highest port congestion brought about by the pandemic. (AOB at 70-71 (Chart 1, citing C437.1).) OOCL fails to rebut, and essentially admits to, port congestion issues prevailing throughout the pandemic, and instead simply reiterates its contention, addressed above, as to what it maintains FMC precedent requires for determining D&D charges to be unjust and unreasonable.<sup>36</sup> (R369-374.)

For example, OOCL recounts an anecdote from April 2022 (*i.e.*, at the end of the second Service Contract year at issue, after OOCL had already charged BBY the majority of the D&D charges at issue here) wherein BBY’s Vice President of Global transportation Reid Klosowsky comments on the extreme D&D charges, and claims that “[t]his is a clear demonstration of the

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<sup>36</sup> OOCL claims that “no contemporaneous evidence” exists supporting that port congestion (during the global pandemic) prevented BBY or its drayage carriers from picking up or redelivering the containers at issue (R344 (citing RPF 496-500).) That position is absurd. BBY provided extensive evidence demonstrating severe port congestion at the ports of Los Angeles/Long Beach. (C32-53, 370-77, 412-437.)

incentive principle in practice.” (R348.) OOCL’s characterization of this event is internally inconsistent; elsewhere OOCL characterizes Klosowsky’s 2021 visit to the Ports of Los Angeles/Long Beach as a turning point, when BBY supposedly began to take long-dwelling containers seriously, (CR531), but now contends that spring 2022 was actually when BBY first began to pay attention to long-dwelling containers. In reality, BBY had no incentive to incur heavy demurrage fees but was limited by factors outside of its control. (CR533.)

OOCL also cites to an FMC Annual Report to contend that “port congestion did not stop the flow of containers in the United States.” (R370-373.) That statement, however, simply highlights the “unprecedented” strain placed on “America’s ocean transportation system,” and places the responsibility for the success of the system to function during those trying times on the *shippers* themselves who, like BBY, took heroic steps to move containers. The Annual Report did not opine on whether all D&D charges imposed during that time were fair and reasonable. In any case, the ultimate outcome that “most Americans experienced no major disruptions” underlines the difficulty in achieving that outcome, including dealing with the systemic delays of which OOCL apparently claims it was ignorant. That is simply not credible, particularly where OOCL fails to rebut its own Trade employee’s, Chen, testimony that OOCL was aware that the delays in BBY returning its containers were “due to no fault of [BBY’s] own.”<sup>37</sup> (R375.)

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<sup>37</sup> OOCL likewise fails to engage with the careful analysis by McCown underlying the finding that “[a] significant imbalance between higher detention charges as compared to demurrage charges tends to indicate that a shipper’s failure to return containers is due to factors outside the shipper’s control.” (R376.) OOCL simply points to McCown’s testimony regarding “CY or port-to-port moves,” which is not relevant here, and ignores the context of that testimony where McCown stated: “Everything’s, kind of, linked to everything else. . . . [F]or instance, one of the things on point, specifically, and referenced in our report was that the normal rhythm of shipping, you know, where everything, kind of, worked like clockwork disappeared during the pandemic. That certainly was not Bed Bath & Beyond’s fault. OOCL was operating the ship. So that normal rhythm disappeared. And I think that’s exactly what the vice president, Mr. [Klosowsky] [] when he went to the terminal and was complaining that, you know, chassis weren’t provided[.] [H]e referenced, and throughout the depositions Bed Bath & Beyond was saying that the service that we were getting, you know, no longer was the regular service that we had expected and normally got. It was in [] bunches. And so, yes, you better believe I feel strongly that that which is squarely at OOCL could, in fact, have a very pronounced effect on your hypothetical.” (McCown Tr. 192:12-193:16 [APP-1484].)

**ii. OOCL assessed arbitrary and exorbitant detention and demurrage charges against BBY.**

OOCL's reliance on its own D&D team's purported "vetting and verification" of OOCL's D&D charges against BBY is not credible, (Opp'n Br. at 36-37 (citing RPFF 503, 538, 539)), exactly for the reason that OOCL concedes in its Opposition Brief: [REDACTED]

[REDACTED]<sup>38</sup> In other words, OOCL's system for "validating" its own D&D charges was based on a single factor—whether a port terminal was open or not—without reference to the full set of relevant considerations under *TCW*. OOCL does not dispute that OOCL placed the burden on shippers to avoid D&D charges because it would assess such charges as long as a "delay is not directly caused by OOCL".<sup>39</sup> (R379-380.)

**iii. OOCL did not have meaningful dispute resolution policies or practices as to the detention and demurrage charges assessed against BBY.**

OOCL claims it had a "comprehensive process in place during the pandemic to vet and resolve DD charges and issues." (Opp'n Br. at 36, 39.) But each of OOCL's bases for that contention is unfounded. (CR486-495, 503-05, 537, 542-543.) The mere existence of a customer dispute website is meaningless where OOCL's D&D processes and "guidelines" were not

<sup>38</sup> OOCL claims that "Tracy Sha and her team validated all of BBY's DD charges. APP 2357 (Sha Tr. 160:6-16)." (Opp'n Br. at 37 n.24.) But Sha's testimony related to OOCL's verification of payments BBY claimed to have made as to D&D charges, and has nothing to do with whether the charges themselves were appropriate under any standard.

<sup>39</sup> OOCL relies heavily on Klosowky's clipped testimony that BBY had the "burden of proof". (e.g., R367-368.) OOCL's reliance on that testimony is misplaced because (1) it states a legal conclusion and Klosowsky is not an attorney and does not have any authority or basis to determine the legal standard by which OOCL's D&D charges are or should be evaluated and (2), as to the statement itself, Klosowsky's statement that the "burden of proof I think was on us" speaks to Klosowsky's awareness that it was *OOCL policy* to require burdensome documentation to support a challenge to D&D charges, and as a result he tried to assist gathering facts, documentation, and evidence. (CR497.) This clarification addresses OOCL's contention that it would "consider" reasons a customer presented for delays in container returns in potentially refunding D&D charges, but only after the customer provided "detailed information". (R367.) That is a far cry from actually providing such refunds, but in any case puts the onus entirely on the shipper to challenge and substantiate the unreasonableness of the carrier's D&D charges. The onerous documentation standards OOCL required to "vet" (i.e., effectively force its customer to all but litigate) D&D charges puts into context OOCL's contention that "BBY presented no such explanations or evidence" as to container delays. (e.g., R367-368.)

comprehensive and did not permit any “operational” adjustment unless the customer proved OOCL was 100% at fault. (CR487-488.) No inquiry into whether charges were outside of the customer’s control occurred, and the customer’s only recourse was to ask for a “commercial adjustment” that OOCL’s Trade team might make for business development reasons. (CR489-494.) In addition, OOCL did not vet claims thoroughly; in the case of a spreadsheet of container data provided by BBY, OOCL’s D&D team only purported to review whether terminals were not able to accept empty containers, and did not review whether there was appointment availability or outside factors preventing the return of the containers. (CR503.)

OOCL admits that its D&D dispute resolution practices were opaque and allowed OOCL to do whatever it wanted: “Instead of implementing a uniform procedure based on the FMC interpretative rules on demurrage and detention, OOCL has established an internal process that is not accessible to its customers.” (R398.) This renders illusory OOCL’s claims that its dispute process would “consider” a customer’s reasons for a delay, since OOCL placed the full documentation burden on the customer and could delay its own process indefinitely before unilaterally deciding whether “grounds existed” for refunding a charge. (R391, 402.)

OOCL’s dispute process is also unreasonable because it fails to assign weight to the incentive principle, and instead approaches adjustments as “purely a commercial decision.” (C403.) OOCL relies on its “operational adjustment” criteria, which are rolled into the “commercial adjustment” consideration, to encompass the incentive principle, but OOCL’s “operational adjustment” criteria were based solely on whether a port was open or not on the day of a charge, which as discussed above fails to account for all of the factors required by *TCW*. Nor can OOCL rely on its admittedly “tight” commercial parameters, because, as discussed above,

where circumstances were outside of a shipper's control, no amount of penalty was appropriate to accomplishing the goal of the incentive principle: the fluid movement of freight. (R404-405.)

Again, the proof is in the pudding. Through the October 2021 and February 2022 Letters, BBY initiated disputes and provided consolidated responses to OOCL's charges given the context of the pandemic. (C407.)<sup>40</sup> OOCL utterly failed to refund those charges or engage fairly with BBY's complaints, demonstrating the insufficiency of its dispute resolution process.

**iv. Factors outside of BBY's control interfered with reasonable efforts to mitigate OOCL's unreasonable detention and demurrage charges.**

As discussed above, many factors outside of BBY's control interfered with its efforts to avoid OOCL's unreasonable D&D charges. OOCL fails to address the many actions BBY took to address issues arising from port congestion and the pandemic. (R412-437.) OOCL does not dispute BBY's explanation that it did not deliberately fail to pick up containers because D&D charges were more expensive than warehousing goods, and instead simply attacks BBY's expert McCown. (R312 [sic].) BBY had every incentive to move containers—and it did its best to do so—during a period that OOCL admits was “unprecedented” and “worsened” through 2020-2022. (R426, 430.) As OOCL itself admits, “BBY, like many companies across all sectors, invested resources into ‘trying to deal with the challenging extrinsic conditions that resulted from the pandemic.’” (R436.) It is simply not credible, in this context, to contend that “BBY's supply chain management created the problems that it encountered.” (R430.)

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<sup>40</sup> To the extent BBY did not generate written reports concerning whether each and every container was, for example, inaccessible because it was buried in stacks, a painstaking container-by-container evaluation was simply not feasible in light of the vast number of affected containers, the extreme conditions of the pandemic and related port congestion. In any event, OOCL was well aware that factors beyond BBY's control were affecting pickup and drop off of containers. (C425; (McCown Tr. 271:18-272:18 [APP-1504] (“[N]obody at OOCL could say, wow, we never heard any -- we thought everything was just going swimmingly for Bed Bath & Beyond. . . . [T]hat's a ridiculous supposition.”))

OOCL claims that BBY did not do “everything” possible to mitigate OOCL’s D&D charges because BBY did not submit day-to-day “explanations or evidence to OOCL as to why BBY was not responsible for such charges”, (R348, 412, 413), but that improperly seeks to put the onus entirely on BBY instead of OOCL to justify its excessive D&D charges.

Basically, OOCL seeks to blame BBY for the infeasibility of timely pulling or returning the containers in question. (Opp’n Br. at 39-42.)<sup>41</sup> For example, it is not credible for OOCL to fault BBY for “delaying” bringing in Seweryn Soban to deal with the management of delivery of containers from ports to distribution centers until December 2021. (R413.) BBY engaged Soban in the wake of the worst of the port congestion issues and resultant spike in D&D charges, manifesting a clear intent to address an acute problem. In fact, the hiring of Soban was just one of many reasonable actions BBY took to mitigate the business damage from supply chain issues.

OOCL also contends that BBY’s warehouses and distribution centers were full. (Opp’n Br. at 39-40 (citing RPFF 38, 278-285, 288, 458, 459, 460, 506, 508, 509, 513.) This misrepresents and overstates the evidence:

- There were periods during 2020-2021 when BBY’s container yards and some of its warehouses were not full. (CR38, 279.)
- Even in the fall of 2021, when warehouses were generally full, not all buildings were at capacity. (CR38, 279.)
- BBY utilized additional distribution centers to process freight more quickly. (CR287.)
- BBY took on extra drayage costs to move containers to locations with available space and clear backlogs by hiring additional storage providers at the distribution centers and warehouses and pooling points. (C413.2, 413.4.)
- Some of BBY’s warehouses becoming full was not BBY’s fault because (1) systemic factors constrained warehouse space in the SoCal region (C426 (noting “At the customers’ level, they had warehouses that couldn’t open.”); and (2) external factors beyond BBY’s control caused erratic shipments during the pandemic, meaning that containers didn’t off-

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<sup>41</sup> OOCL’s Opposition Brief appears to repeat itself on pages 40 and 41, as similar purported facts and issues are discussed in almost exactly the same language, albeit in a different order. Neither recitation is accurate.

ship according to the import team’s schedule and bottlenecks resulted in containers being released simultaneously in a haphazard and unpredictable manner. (C414.)

OOCL calls into question BBY’s supply chain management, (Opp’n Br. at 40, 42), and otherwise resorts to blaming BBY based on BBY’s shipment of goods during the pandemic. (R412, 413.) For example, OOCL raises BBY bringing what OOCL describes as “large numbers” of containers into Southern California (R348), and attacks BBY’s business management decisions, and even suggests that “BBY could have stopped shipping huge volumes of containers to the United States when its warehouses were full”. (Opp’n Br. at 40; R348.) That suggestion is obviously unworkable, as BBY’s shipping volume was a normal business development and not, by itself, responsible for the global glut of container flow. For the same reason, BBY exercised reasonable business judgment in product “holdbacks” and prioritizing certain cargo over others, and cannot be faulted for those decisions under the circumstances. (Opp’n Br. at 40.)<sup>42</sup>

OOCL then blames “self-inflicted disruptions” (OOCL’s term for some of the issues that preceded BBY’s bankruptcy) as causing the D&D charges. (R348.) This is, of course, irrelevant to OOCL’s actions that form the basis of Count II. BBY’s decline in earnings, for example, is irrelevant to the reasonability of the D&D charges. Some of the alleged “disruptions” speak more to the misconduct of OOCL and other carriers than to any mistakes of BBY’s. For instance, OOCL claims that BBY increased its imports from 2020 to 2021 and that some imports were not needed at the time they arrived, allegedly due to BBY’s failure to anticipate customer purchasing patterns. (RPFF 37, 513.) Admittedly, merchandise did sometimes arrive after it was needed—*as a consequence of OOCL’s delays* and misconduct, and that of other carriers. For a retailer, getting

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<sup>42</sup> The accusation that BBY mismanaged its import volume is particularly rich coming from OOCL, since it has taken the position that making a third of its total yearly MQC available during a two-week window in March 2022, after shorting BBY for two years, sufficed to reasonably discharge its service commitment.

goods on the shelves on time for sales, promotions, or product releases is crucial to their business success, and OOCL's misconduct was intensely damaging to BBY.

**D. Count II, Element 5: OOCL's policies and practices of assessing unreasonable detention and demurrage charges against BBY are the proximate cause of BBY's claimed losses.**

OOCL fails to rebut this element, as discussed below as to reparations. (Arg. § VI.B.)

**III. Count III ("Conduct Not in Accordance with Service Contracts"): OOCL's Provision of Service to BBY under the Service Contracts Was Not in Accordance with the Rates, Charges, Classifications, Rules, and Practices Contained in the Service Contracts and Constitutes a Violation of 46 U.S.C. § 41104(a)(2).**

As to Count III, OOCL fails to address BBY's theories and evidence. (Opp'n Br. at 42-47.)<sup>43</sup> BBY's AOB marshaled evidence that OOCL violated 46 U.S.C. Section 41104(a)(2) by (a) "systematically failing to meet its service commitments" under the Service Contracts, (AOB at 72), and (b) "seeking to coerce BBY to pay PSS and enter into premium rate contracts" contrary to the terms of the Service Contracts. (AOB at 73.) OOCL's Opposition Brief misconstrues these arguments, instead focusing on a meritless discussion of the FMC's authority to regulate rates. Indeed, OOCL's characterization of Section 41104(a)(2) ("That section does not in any way address the level of rates (i.e. prices) but instead requires the carrier to charge what it said it would charge and apply the terms and conditions it said it would apply, as spelled out in the particular tariff or service contract . . .", Opp'n Br. at 42) actually supports BBY's claim under Count III, because OOCL violated its commitments as to both price and space.

**A. OOCL's actions of "systematically failing to meet its service commitments" were not in accordance with the rates, charges, classifications, rules, and practices contained in the parties' Service Contracts.**

OOCL fails to address this issue at all. Accordingly, OOCL concedes this element of Count III and the bases for BBY's claim stand for the reasons discussed in BBY's AOB.

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<sup>43</sup> OOCL's meritless arguments as to the FMC's jurisdiction over BBY's claims are addressed below. (Arg § VII.)

**B. OOCL’s actions of “seeking to coerce BBY to pay PSS and enter into premium rate contracts” were not in accordance with the rates, charges, classifications, rules, and practices contained in its Service Contracts with BBY.**

OOCL addresses solely the aspect regarding OOCL’s coercion of extracontractual PSS and premium rates under “premium contracts” (which OOCL euphemistically terms “secondary contracts”). (AOB at 73-74.) OOCL inaccurately claims that BBY “*does not* allege . . . that [OOCL] ever assessed it a rate or charge, or engaged in a practice, that was not set forth in the specific service contract under which any of BBY’s shipments moved.” (Opp’n Br. at 43.)

That argument misses the point. The unreasonableness of OOCL’s PSS charges and Premium Contracts, as well as their inconsistency with the BBY Service Contracts, has been discussed above, as well as in BBY’s AOB. (AOB at 73-74.) As discussed, this resulted in BBY incurring approximately \$13.7 million in additional costs beyond the amounts stipulated by the parties under the original Service Contracts. (C283.)

OOCL’s description of its premium contracts concedes the very theory and set of facts that BBY demonstrated in its AOB. OOCL’s statements are worth quoting at length:

*When negotiating service contracts for 2020 and 2021, OOCL and its customers agreed to space commitments based on the services OOCL expected to have available to it at the time of negotiations.* Shippers were well aware of what those services would be during the back and forth of the negotiations process. Thus, both the shipper’s commitment to use minimum volume of OOCL’s service and OOCL’s commitment to provide a specified service level (that is, space to carry the shipper’s containers), were based on a mutual understanding as to the services OOCL would use to carry the shipper’s cargo from specified origins and to specified destinations. APP 3261-92, 3360-97 (Dep. Ex. 163, 332). *As everyone knows, and the Commission may officially notice, 2020 and 2021 did not turn out as expected.*

...

*When demand from customers continued to exceed the capacity it could provide in its normal operations, OOCL developed an ancillary approach for the benefit of shippers desiring more space.* RPFF 273, 659, 663. In particular, it added new, OOCL-only services, using vessels that were then operating in other trades where they earned significant revenues. Pulling those vessels from other (non-U.S.) trade lanes created substantial lost opportunity costs; *to compensate, the new U.S.*

*services had to be priced higher than the majority of the annual service contracts that had been negotiated months earlier. If such prices could not have been achieved, OOCL would not have created the service, and shippers, including Complainant, would not have had access to the additional space at any price. Space was offered to shippers on these services via the Secondary Contracts.* (Opp’n Br. at 45-46 (emphasis added).)

This effectively concedes that (1) OOCL and its customers agreed to certain space commitments for the 2020 and 2021 Shipping years, (2) those agreements applied to specified origins and destinations, (3) OOCL failed to meet the space commitments it agreed to with its customers for the 2020 and 2021 Shipping Years, and (4) instead of working to provide its customers with the space it had agreed to under the terms of its existing service contracts, OOCL forced its customers to agree to premium contracts at higher rates or (5) OOCL otherwise would have allocated those customers even less of the space to which they were entitled. [REDACTED]

[REDACTED]

[REDACTED]

OOCL asserts that the premium contracts were voluntary, (Opp’n Br. at 43 (citing RPFF 485, 633-644)), claiming BBY and other customers were “free to decline” OOCL’s premium contracts. (Opp’n Br. at 43-44 (citing RPFF 659).) In truth, though, [REDACTED]

[REDACTED] shippers had no real choice. OOCL’s cynical statements that “Shippers were entirely entitled to (and did) weigh the advantages and disadvantages of the respective contracts and choose the contract that best suited the shipper’s needs for the particular shipment”, and that if “BBY wished to insist that its freight be carried solely under the annual Service Contracts and to decline entering into [Premium] Contracts, it could have done so”, have no credibility. (Opp’n Br. at 44, 46.)

**IV. Count IV (“Retaliation”): OOCL’s Actions and Omissions Constitute Retaliation against BBY and a Violation of the Former 46 U.S.C. § 41104(a)(3) (Now Codified At 46 U.S.C. § 41102(d)).**

OOCL advances a misinterpretation of the former 46 U.S.C. Section 41104(a)(3) (now codified at 46 U.S.C. Section 41102(d)) that seeks to impose an untenably restrictive (even violent) standard for finding carrier retaliation against shippers. OOCL goes so far as to limit violations of Section 41104(a)(3) to acts that are “intended to return like for like or get revenge,” and, according to OOCL’s casting, essentially amount to war crimes. (Opp’n Br. 48 (quoting Merriam-Webster (online Edition) (“to return like for like especially: to get revenge” for example, “*the enemy retaliated by executing their prisoners.*”) (emphasis added).) That colorful invention aside, BBY has established that OOCL refused to provide the cargo space that BBY was entitled to under the Service Contracts and froze BBY out of further space after the 2021 Shipping Year in order to punish BBY for raising OOCL’s unjust and unreasonable D&D charges and other practices.

**A. Count IV, Element 2:<sup>44</sup> BBY engaged in protected activity.**

OOCL’s contention with respect to the “protected activity” element attempts to recast a statute meant to regulate ocean carriers’ retaliatory conduct against shippers as, paradoxically, primarily regulating *shipper* activity. In doing so, OOCL seeks to create a narrow, brightline rule as to the FMC’s ability to interpret 46 U.S.C. Section 41104(a)(3)’s “any other reason” clause, which, as OOCL concedes, is facially “quite broad.” (Opp’n Br. at 49.) OOCL mischaracterizes the history of the statute to claim that the FMC has “applied a narrow interpretation” of the statute’s “any other reason” clause, primarily relying on the FMC’s *Statement of the Commission on Retaliation*, FMC Dkt. No. 21-15 (FMC Dec. 28, 2021)<sup>45</sup> (“Statement”), which OOCL characterizes as an “informal, non-binding statement of guidance”. (Opp’n Br. at 49.)

<sup>44</sup> Elements 1 (that BBY is a shipper) and 3 (that OOCL is an ocean carrier) are undisputed. (R6, 451, 457.)

<sup>45</sup> Available at [https://www2.fmc.gov/ReadingRoom/docs/21-15/21-15\\_Policy\\_Retaliation.pdf/](https://www2.fmc.gov/ReadingRoom/docs/21-15/21-15_Policy_Retaliation.pdf/)

Specifically, OOCL seizes on language in that Statement that follows the well-established *ejusdem generis* canon of statutory construction, specifically seeking to limit the “class” of the listed examples of protected activity in 46 U.S.C. Section 41104(a)(3) to such a narrow extent that almost any activity short of explicit notices of intent to file a formal complaint with the FMC would be excluded from the statute’s “any other reason” prong. (Opp’n Br. at 49-50 (quoting Statement at 7, 7 n.36, 9.) OOCL does not dispute that it received BBBY’s October 2021 and February 2022 Letters, or what was written in them. Instead, it misconstrues those undisputed facts to question whether BBBY’s October and February Letters fall within Section 41104(a)(3)’s “class” of protected activities. The evidence and controlling authority answer simply: yes.

BBBY’s AOB established that the October and February Letters fall within Section 41104(a)(3)’s “any other reason prong”, and OOCL fails to refute BBBY’s position. As BBBY argued, “regulatory anti-retaliation provisions are consistently interpreted to protect the full range of activities that could lead to formal enforcement, not just the filing of formal complaints. This common interpretation protects preliminary steps that may ultimately lead to formal action, thereby furthering the statutory scheme’s enforcement goals.” (AOB at 77 (discussing cases).) OOCL fails to address *any of these authorities* or the reasoning presented by BBBY for encompassing letters such as those sent by BBBY to OOCL, as within Section 41104(a)(3)’s definition of “protected activity”. (AOB at 78 (quoting *Am. Civil Liberties Union Immigrants’ Rights Project v. United States*, 58 F.4th 643, 657 (2d Cir. 2023)).) BBBY moreover argued in the AOB that it would be perverse to limit the class of protected activities under Section 41104(a)(3) to formal, black-letter notices, because it would incentivize carriers to race to squelch any shipper complaints while they remain at the formative stages. (AOB at 79.) ***OOCL again fails to respond.***

OOCL’s failure to engage with these issues is telling, and the points that it does raise in its Opposition Brief are meritless. OOCL simply reiterates the FMC’s (non-controlling) Statement and elides that Statement’s permissive approach to Section 41104(a)(3) by assuming that only activities discussed therein may fall within the same class of the specifically enumerated activities in Section 41104(a)(3). (Opp’n Br. at 50 (quoting Statement at 9.) This, again, ignores Congress’s plain language and intent to prohibit retaliation broadly via the use of terms such as “*any other reason*” and “*other activities*”.

As to the testimony and other facts surrounding the letters, OOCL cites Hackett’s testimony to contend that BBY’s October and February Letters were not intended as a threat. Although Hackett stated that “it was never *my* intent to threaten anything to anybody” (Hackett Tr. 65:11-15 (emphasis added) [APP-829]), [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

OOCL's other arguments concerning its own employees' testimony are not credible and based on thin, inapposite evidence, if any. (CR675-78.) [REDACTED]

[REDACTED] OOCL does not dispute that evidence, instead avoiding the subject by citing OOCL employee testimony that it characterizes as representing that "no retaliation occurred". But here the evidence shows that OOCL's employees did perceive a threat of legal action. (R456, R456.1.)

OOCL also advances an overly narrow reading of the FMC's decision in *OJ Commerce*. (Opp'n Br. at 51.) OOCL's "dubious" feeling that the Commission's extension of protected activity under 46 U.S.C. Section 41104(a)(3) will be reversed by the federal courts is neither well-reasoned nor applicable to the current procedural posture of this action—the FMC's decision in *OJ Commerce* is controlling here and now. Moreover, taking *OJ Commerce* on its own terms, as the Presiding Officer must, there is no basis for OOCL's assertion that the FMC "set a limit on what might fall within the class of filing a complaint." (Opp'n Br. at 51.) To be sure, the protected activity in *OJ Commerce* involved letters that included statements of the shipper's intention to file FMC complaints against the carrier, but the FMC was also careful to limit the scope of its decision to the facts at issue in that case—it did nothing to foreclose other, closely related activities from falling within Section 41104(a)(3)'s definition of "protected activity".

OOCL seeks to characterize BBY's letters as mere "offhand bluster or idle threats" in order cast those letters as outside the scope of activity *OJ Commerce* identified as satisfying Section 41104(a)(3). (Opp'n Br. at 51.) But that contention is belied by the face of the letters themselves, the evidence discussed above showing that OOCL was on "notice" that BBY intended to seek legal remedies if the specific issues reflected in the letters were not addressed, and, of course, the very fact of BBY having filed the present action. BBY intended to seek—

and indisputably did seek—compliance action against the practices and conduct described in the October 2021 and February 2022 Letters. OOCL’s characterization of these letters as “generic” is simply unfounded, particularly given the totality of evidence provided in this action as to the extent of OOCL’s unreasonable conduct. One would hope such conduct by ocean carriers is not “dime-a-dozen commonplace” as OOCL claims it to be. (Opp’n Br. at 52.)

The conduct described in BBY’s October and February Letters rises above the “unspecified ‘unlawful charges’” described in *Samsung Electronics America, Inc. v. Orient Overseas Container Line Ltd.*, FMC Dkt. No. 24-17, 2024 WL 4893409, at \*10 (ALJ Nov. 18, 2024) (Order Partially Granting Motion to Dismiss). In that case, there was “no allegation of such a threat anywhere in the complaint”, *id.*, [REDACTED]

[REDACTED] As to [BBY] v. *MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 23-12, 2024 WL 1299768 (ALJ March 25, 2024) (Order Granting Respondent's Partial Motion to Dismiss), in which the presiding officer partially granted a motion to dismiss a retaliation cause of action, that decision was made at the pleading stage, prior to discovery, and is not controlling here. Here, with the benefit of an evidentiary record, the evidence establishes that BBY’s letters did seek to put OOCL on notice of potential compliance action by BBY if the complaints in those letters were not addressed, and OOCL’s employees understood those letters accordingly.

Finally, [REDACTED]

[REDACTED] This characterization, however, contradicts the evidence that OOCL perceived BBY’s October and February Letters as litigation threats. [REDACTED]

**B. Count IV, Element 4: OOCL engaged in prohibited conduct.**

As discussed in BBBY’s AOB, OOCL engaged in prohibited conduct under 46 U.S.C. Section 41104(a)(3) by (1) “refusing to accept BBBY’s bookings during the 2021 Shipping Year and assessing punitive D&D Charges”, (AOB at 80); (2) offering rates to BBBY significantly higher than those offered to other shippers with similar service contracts for the 2022 Shipping Year”, (AOB at 81); (3) “discriminatorily reducing BBBY’s MQC as a precondition to entering into a service contract for the 2022-23 shipping year”, (AOB at 82); and (4) “refusing any rate reductions requested by BBBY.” (AOB at 84). OOCL’s arguments in response to these points fail.

- 1. OOCL engaged in retaliation by refusing to accept BBBY’s bookings during the 2021 Shipping Year and assessing punitive D&D Charges.**

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] Likewise, OOCL concedes that its employees acknowledged that OOCL failed

to meet CSAL or allow bookings under it from 2020 to 2022. (R459.)

OOCL otherwise merely rehashes its critiques of the McCown Report Appendices and underlying data analyses, which are addressed below, but fails to contest the statistics BBBY provided that demonstrate that OOCL engaged in retaliation by refusing to carry BBBY’s shipments and assessing punitive D&D charges. (AOB at 80-81; R460-462.)

- 2. OOCL engaged in retaliation by offering rates to BBBY significantly higher than those offered to other shippers with similar service contracts for the 2022 Shipping Year.**

OOCL attempts to excuse its retaliatory high rate offer by arguing that it was “authorized . . . to treat different customers differently, no matter how similarly situated.” (Opp’n Br. at 55).

OOCL’s argument, however, glosses over the central point of BBY’s retaliation claim: OOCL did not violate 46 U.S.C. Section 41104(a)(3) *because* of the specific rates it charged BBY *per se*, but *because it did so with the unlawful intention of retaliating against BBY*. This renders inapposite OOCL’s citation to *Global Link Logistics*, (Opp’n Br. at 55), which merely stands for the principle that, in general, charging similarly situated shippers different rates is not a *per se* violation of the Shipping Act. For the same reason, [REDACTED]

[REDACTED] simply proves BBY’s point: what was “unique” about the rates OOCL charged BBY was OOCL’s intention to use those rates to punish BBY.

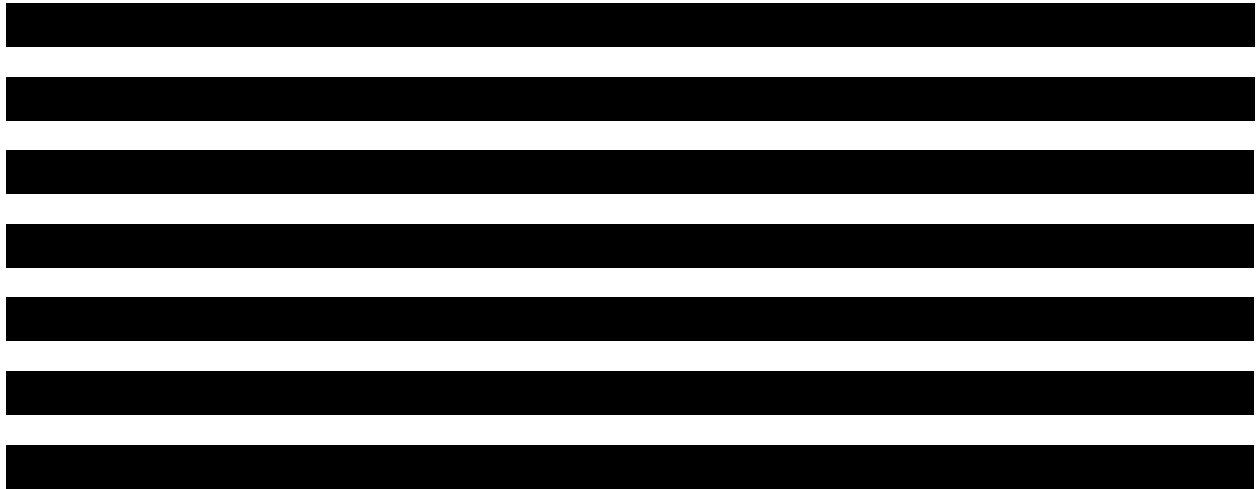
OOCL’s only excuse for its decision to renege on its verbal agreement to provide BBY with lower rates in the 2022-2023 Service Contract is that negotiations are “not written in stone.” (R463.) That ignores the broader context, [REDACTED]

Moreover, as to OOCL’s claim that its “employees” testified that it did not engage in retaliatory pricing, that claim is based on the testimony of a single employee, Chen. (CR677.) That testimony is not credible, as OOCL’s Trade team, of which Chen was a part, was itself responsible for the scheme to retaliate against BBY [REDACTED]

OOCL seeks to excuse itself based on “business reasons”. (Opp’n Br. at 56.) However, the cited Etlin Declaration from BBY’s filing of bankruptcy, which post-dates negotiations regarding the 2022-2023 Service Contract by over a year, does not provide evidence that OOCL knew that BBY would go bankrupt when they engaged in those negotiations, and whether actions can be characterized as “prescient” with the benefit of hindsight has no relevancy to the justification of those actions at the time they were taken. (CR683, 689.) OOCL’s reliance on Steffen’s expert report, which is not credible, is likewise misplaced. Without analyzing BBY’s supply chain costs (C570) or the impact of increased shipping costs on the profitability of BBY’s products (C568), Steffen irresponsibly downplays the significant financial burden imposed on BBY due to carrier misconduct, testifying that OOCL’s impact was merely a “rounding error.” (CR725.) Lacking expertise in share repurchase transactions (C560), Steffen attempted to divert attention from OOCL’s unlawful conduct by shifting the focus to BBY’s investor activities (CR750), as well as its share repurchases and debt obligations—common corporate practices. (CR735, 744, 745, 746, 769.) In any case, the presence of larger, more obvious financial problems (such as excessive debt, declining sales, and failed turnaround efforts) does not negate that OOCL’s alleged conduct contributed to BBY’s financial distress in a way that is relevant to this litigation. (CR743.) Indeed, as Steffen admitted, BBY’s decreased profitability and excess costs were a factor in BBY’s bankruptcy. (C581.) Thus, in addition to Steffen’s lack of qualifications and/or methodological reliability, OOCL’s recitation of BBY’s subsequent insolvency simply highlights the damage done to BBY by OOCL’s conduct, in the form of huge costs that factored into BBY’s eventual bankruptcy. (CR728-750.)

**3. OOCL engaged in retaliation by discriminatorily reducing BBY's MQC as a precondition to entering into a service contract for the 2022-2023 shipping year.**

The only evidence of OOCL's retaliatory conduct that OOCL's Opposition Brief actually addresses is OOCL's decision to reduce the MQC it offered to BBY for the 2022-2023 shipping year by 17%. (Opp'n Br. at 57-58.) OOCL's contention that BBY "failed" to mention OOCL's excuse that the 17% reduction was purportedly "across the board to all shippers", (Opp'n Br. at 57), is untrue. BBY addressed, and refuted, that false narrative at length in its AOB:



██████ The contemporaneous evidence establishes that the 17% reduction to BBY's MQC was specifically directed at BBY and that the claims that such a reduction was "across the board" were merely a pretext. (CR676; 685.) OOCL seeks to explain away that evidence as merely the expressions of the relevant OOCL employees' "opinions", (Opp'n Br. at 58 n.31), but that fails

to refute the underlying point: those employees held those opinions because it was clear to them at that time and contemporaneous context that OOCL's 17% reduction was an act of retaliation.

OOCL thus fails to refute that its reduction of BBY's MQC in the 2022-2023 Service Contract was retaliatory. (AOB 82-84.)

**4. OOCL engaged in retaliation by refusing any rate reductions requested by BBY.**

OOCL's Opposition Brief fails to address that it refused to reduce rates as requested by BBY for the 2022-2023 shipping year. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

**V. Count V ("Unreasonable Refusals to Deal or Negotiate"): OOCL Unreasonably Refused to Deal or Negotiate with BBY in Violation of 46 U.S.C. § 41104(a)(10).**

OOCL's Opposition Brief broadly fails to contest BBY's claims under Count V, including the entirety of element three (that OOCL's refusals were unreasonable), which are thus conceded. (Opp'n Br. at 59-60.) OOCL's failure extends to each of the AOB sections under Count V, with the exceptions of Sections V.B.1 and V.B.4, which address (1) OOCL's failure to accept BBY's bookings or make space available to fulfill its MQC service commitments to BBY and (2) OOCL's failure to engage in negotiations for the 2022-2023 shipping year in a reasonable manner. (AOB at 88, 89.) Each of OOCL's failures to address BBY's claims under Count V lacks justification.

**A. Count V, Element 2: OOCL refused to deal or negotiate with BBY.****1. OOCL failed to accept bookings or make space available to fulfill its MQC service commitments to BBY.**

OOCL's Opposition Brief addresses this issue in cursory fashion and simply references OOCL's RPFFs. (Opp'n Br. at 59 (citing RPFF 576-618).) Those arguments fail for the reasons discussed in BBY's CFOFs, (CR576-618), as well as those discussed above. Moreover, the RPFFs are not argument, and to the extent OOCL seeks to rely on argument contained improperly in its RPFFs, such argument should be disregarded because it violates the briefing page limits.

OOCL summarily claims that it did not "deselect" BBY for shipping space, but fails to provide evidence supporting that position. (R506.) OOCL also includes the *non sequitur* that, "the parties mutually agreed to, signed and filed 47 contracts (two annual and two secondary service contracts, and forty-one amendments thereto) with the FMC during this period." (Opp'n Br. at 59.) OOCL does not explain the significance of this statement. In any event, the simple fact of OOCL and BBY entering into such agreements does not absolve OOCL's failure to reasonably deal with BBY to provide space under the Service Contracts.

OOCL's failures, described in BBY's AOB, constitute unlawful refusals to deal with BBY under 46 U.S.C. Section 41104(a)(10). (AOB at Arg. § V.B.1; *supra* Arg. § I.)

**2. OOCL failed to provide contracted space to BBY without PSS or premium rates.**

OOCL's Opposition Brief fails to address BBY's claims here, conceding them. OOCL's RFOFs also fail to rebut BBY's claims because, as discussed above, whether BBY and OOCL entered into agreements does not absolve OOCL of violations of the Shipping Act. (R508.) OOCL's practices of charging PSS and premium rates constituted unreasonable refusals to deal under 46 U.S.C. Section 41104(a)(10). (AOB at Arg. § V.B.2.)

### 3. OOCL failed to reasonably deal with respect to D&D charges.

OOCL's Opposition Brief fails to address BBY's claims here, conceding them. OOCL's RFOFs also fail to rebut BBY's claims. OOCL refused to address disputed invoices or provide necessary or requested information, thereby unreasonably refusing to deal or negotiate with BBY, and its acts or omissions of OOCL that led to the assessment of such D&D Charges also constitute violations of 46 U.S.C. Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate. (AOB at Arg. § V.B.3.)

### 4. OOCL failed to reasonably deal in negotiations for the 2022-2023 shipping year.

OOCL misconstrues BBY's contention as to OOCL's failure to engage in negotiations for the 2022-2023 shipping year in a reasonable manner. As discussed in BBY's AOB, (AOB at 89), and above, OOCL did not simply "decline[] to lower its freight rates with BBY", (Opp'n Br. at 59), but did so on the unreasonable basis of retaliation against BBY. Accordingly, OOCL's "offer" at the negotiation stage of the 2022-2023 Service Contract cannot be considered to be *bona fide* at all. *Cf. Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. 886 (1993). OOCL's refusal on that basis constitutes a violation of Section 41104(a)(10).<sup>46</sup>

#### B. Count V, Element 3: OOCL's refusals were unreasonable.

OOCL states that "[a] refusal to deal or negotiate is not on its own a violation of the Shipping Act; *the refusal must also be unreasonable.*" (Opp'n Br. at 60) (emphasis in original). But that statement merely recites the standard for violations of 46 U.S.C. Section 41104(a)(10) and is not a refutation of BBY's contentions or the evidence supporting them. It is common ground that carriers may not "'shut[] out' any person for reasons having no relation to legitimate

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<sup>46</sup> OOCL contends that refusals to deal that occur prior to "the execution stage" are governed by Section 41104(a)(10). (Opp'n Br. at 59-60 n.32.) But that is why Section 41104(a)(10) applies here: OOCL engaged in a retaliatory "refusal to enter reasonable negotiations for the 2022-2023 shipping year". (AOB at 89 (emphasis added).).

transportation-related factors.” (Opp’n Br. at 60 (quoting *New Orleans Stevedoring Co. v. Bd. Of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (FMC ALJ 2001), *aff’d*, 29 S.R.R. 1066, 1070 (FMC 2002)).) Such reasons could include prohibited retaliation, but the prohibition on refusals to deal extends to all refusals that are “unreasonable”—a standard that is much broader than the narrow definition of protected conduct OOCL urges in the retaliation context, and certainly could include refusals to deal in response to BBY’s threat letters. OOCL fails to address BBY’s arguments addressed to Count V’s element of unreasonableness. (AOB at 90.) Thus, OOCL effectively concedes this element.

For the reasons discussed in that section of the AOB, as well as above, which are incorporated here by reference, OOCL’s refusals were unreasonable.

## **VI. Reparations**

OOCL’s primary response to BBY’s reparations claims is to point to BBY and OOCL having entered into the Service Contracts and related Amendments (including unnecessary detail as to communications between the parties in executing those agreements) and to contend that those agreements were not signed under duress. (R513; Opp’n Br. at 67 (“BBY’s signatories to any of the service contracts or the amendments thereto signed them involuntarily or under duress. RPFF 634-637. BBY’s Patrick Hackett admitted that amended rates and peak season surcharges would not go into effect until the amendment was signed and filed. RPFF 638.”).) That issue, however, is immaterial under clear FMC precedent. Signing contracts does not relieve OOCL of its obligations under the Shipping Act, which the FMC must enforce regardless of what agreements the parties signed. *See [BBY] v. Evergreen Line Joint Service Agreement*, FMC Dkt. No. 24-12, 2024 WL 3317830, at \*7-10 (ALJ June 26, 2024) (Order Denying Motion for Partial Dismissal of the Complaint) (“the Commission in fact has an obligation to hear well-pleaded Shipping Act claims, over which it has exclusive jurisdiction”); *TCW II*, 2025 WL 516256, at \*8 (“Ocean carriers

and marine terminal operators (and ocean transportation intermediaries) *do not have an unbounded right to contract for whatever they want*. They are limited by the prohibitions of the Shipping Act . . .”) (quoting Interpretive Rule, 85 Fed. Reg. at 29648) (emphasis added).

**A. Count I (“Unjust and unreasonable failure to meet service commitments under the Service Contracts”)**

**1. The evidence underlying BBY’s Count I reparations calculations is accurate and reliable.**

OOCL questions whether there is “any competent evidence” underlying BBY’s Count I reparations calculations and, as to the McCown Report’s Appendices A-1 to B-4, that evidence’s “source, date, method and accuracy of creation, and reliability.” (Opp’n Br. at 65.) But each piece of evidence underlying these calculations was furnished to OOCL during discovery, is individually sound, and collectively demonstrates OOCL’s failure to meet its service commitments under each of the Service Contracts. The Declaration of J. Lee Hill, dated March 20, 2025 and filed contemporaneously herewith (the “Hill Declaration”), explains the evidentiary sources of the data summarized in McCown Appendices A-1 through A-4 and B-1 through B-4 and demonstrates that the McCown Report Appendices summarize reliable evidence that was produced in discovery:

- **Ex. 328, P-0000810432 [APP-3357]** is “a spreadsheet produced in this proceeding on August 23, 2024, containing container information selected by former logistics employees of BBY from BBY data sources.” (Hill Decl. ¶ 6.) “Counsel for Respondent used P-0000810432 during the deposition of Richard Cunniff in this proceeding, noting that the metadata showed that the document was created by Paul Pastor. Mr. Cunniff testified about the document that “I believe that the previous document was a document that supplements the Berman records because we did not previously Berman to house all of our import container information; so, therefore, Logistics was able to provide a supplemental report - I think it’s the previous one -- that contained records that were not loaded in or not part of Berman once we fully had imports in the Berman database.” (Cunniff Dep. Tr. 98:9-99:1 [APP-297].)” (Hill Decl. ¶ 7.)
- **Ex. 329 (P-0000353819 [APP-3358])** is “a spreadsheet that was sent as an attachment to an email (produced in this action at bates number P-0000353818) from Paul Pastor to Ian Pinchuk on May 17, 2023. The subject line of the email was ‘Berman file v3’ and the name of the spreadsheet file at bates number P-0000353819 is identified as ‘Copy of Copy of Berman\_Import 050423 v3.xlsb’.” (Hill Decl. ¶ 8.) “P-0000353820 contains container

information data from BBY's third-party payment processing service, Berman Blake.” (Hill Decl. ¶ 9.)

- **Ex. 330, Attachment A to Complainant's Supplemental Interrogatory Responses [APP-3359]** is a document that merges container-level data from P-0000353819 and P-0000810432 and compares the cost of containers shipped with OOCL on relevant lanes during each shipping year with the costs for such containers pursuant to the respective Service Contracts to calculate the amounts charged by OOCL to BBY in excess of what those containers should have cost had OOCL honored its service commitments. (Hill Decl. ¶¶ 15-20.)

Exhibits 328 and 329, the data underlying Exhibit 330, were produced as a part of BBY's second document production made on October 19, 2023. (Hill Decl. ¶ 10.) As indicated in BBY's Answer and Supplemental Answer to Interrogatory No. 1, Exhibits 328 and 329 together comprise the data showing the “information concerning the containers of Complainant's cargo that form the basis of Complainant's claims for reparations, such as cargo carried by other carriers at higher rates”. (Hill Decl. ¶ 11 (quoting Ex. 326 [APP-3343-3344].) Exhibit 381 (McCown Report) cites to both Exhibits 328 and 329 as Sources Considered (and indeed they were the only two documents McCown listed from the document productions that were not deposition exhibits, ([APP-3929])).<sup>47</sup> These two documents were the sources of data for Appendices A-1 through A-4, Appendices B-1 through B-4, and Appendix C of the McCown Report. (Hill Decl. ¶ 12.)

**i. The McCown Appendices Properly Summarize Reliable Evidence that Was Produced in Discovery and Identified as the Basis for BBY's Damages Calculations.**

As to McCown Report Appendices A-1 through A-4 and B-1 through B-4, which summarize the calculations underlying BBY's request for reparations on its shortfall claims,

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<sup>47</sup> OOCL's contention that Ex. 329 includes charges “relating to multiple ocean carriers, not just OOCL”, (R349), is inapposite—as discussed throughout this brief, there was no need for BBY to “link” the containers reflected in BBY's reparations calculations and underlying data to OOCL's specific booking rejections. OOCL also misconstrues what Exhibit 329 establishes: BBY was forced to carry the containers reflected therein because of OOCL's failure to fulfill its service commitments to BBY.

OOCL contends that the data is unreliable because McCown did not prepare those Appendices himself. (Opp’n Br. at 14-15.)

This argument is a red herring. The Appendices are merely summaries of data that was already in the record, and which McCown explicitly included in his list of sources considered. The Appendices were prepared to illustrate, in individual digestible charts, the voluminous container-level data that underlies BBY’s damages calculations, and OOCL has failed to identify a single error in any of the summaries or the data they summarize. To the contrary, the Appendices reflect accurate data drawn from BBY’s enterprise database that was produced in discovery and which OOCL had ample opportunity to investigate if it so chose. (CR563-565.)

**ii. BBY’s Excel Spreadsheets Are Valid Evidence.**

Unable to identify any inaccuracies in the data files underlying the McCown Report’s Appendices, OOCL instead advances two general, meritless attacks on (1) their connection to OOCL and (2) the verification submitted by BBY’s former Chief Legal Officer and current contractor to the Plan Administrator of the BBY bankruptcy estate, David Kastin. (Opp’n Br. at 15-18 (discussing Ex. 328 (P-0000810432); Ex. 329 (P-0000353819); *see also* CR569-72, 574).)

*First*, OOCL contends that Exhibits 326 (the Interrogatory Responses identifying the spreadsheets) and 328-30 (the spreadsheets themselves) are not “logically connected” to OOCL. (Opp’n Br. at 15, 17, 19-20). The only logical disconnection here is between this evidence and OOCL’s inaccurate reframing of BBY’s causes of action. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

**Second**, OOCL rehashes already-rejected arguments regarding David Kastin’s verification of BBY’s 1AC, this time simply applying them to BBY’s interrogatory responses and the exhibits identified in those responses. (*e.g.*, CR573; Opp’n Br. at 15, 16-18, 19, 20-21; *see also* Order, FMC 23-02, Dkt. No. 89 (Dec. 6, 2024) (denying [OOCL]’s Motion to Strike Verification and Dismiss the Complaint) (the “Strike Order”).)<sup>48</sup> Specifically, OOCL contends that Kastin lacks direct personal knowledge of the information in the spreadsheets. These arguments are identical to the arguments OOCL made, and lost, in its failed motion to strike the 1AC, and should be rejected for the same reasons. (Strike Order.)

As OOCL knows, and as detailed in BBY’s Opposition to OOCL’s rejected motion to strike the 1AC, personal knowledge is not a requirement for verifications such as those at issue here. (BBY Opp’n of Motion to Strike Verification and Dismiss the Complaint, FMC 23-02, Dkt. No. 81 at 5-13 (Nov. 27, 2024) (the “Strike Opposition”).) Like his verification of the 1AC, Kastin’s verification of BBY’s interrogatory responses meets all the requirements for proper verification. (*Id.*; Strike Order at 4, 6.) Notably, OOCL chose to depose Kastin in his individual capacity, and did not notice or take a corporate deposition of BBY. (*See generally* Kastin Dep. Tr. [APP-1141-1235].)<sup>49</sup> Given the bankruptcy context, it is unsurprising that Kastin, who was not involved in the underlying communications or time periods, did not himself possess direct personal knowledge of the facts underlying BBY’s shortfall spreadsheets or facts relating to the assembly of the spreadsheets themselves. As the Presiding Officer ruled in rejecting OOCL’s motion to strike Kastin’s verification of the 1AC, direct personal knowledge is not the standard for such

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<sup>48</sup> OOCL goes even further by engaging in *ad hominem* attacks against Kastin, baselessly characterizing him as “contemptible” and calling into question his professional integrity. (Opp’n Br. at 20.) These attacks are both inaccurate and entirely inappropriate under basic rules of professionalism and civility.

<sup>49</sup> Moreover, Kastin’s former role as Chief Legal Officer of BBY and subsequent role as a legal advisor to the Plan Administrator of the BBY bankruptcy estate necessarily mean that the overwhelming majority of his work in such capacities is subject to the attorney-client privilege. (*See* Strike Opp’n at 13-22; Strike Order at 6.)

verifications. (Strike Order at 6.) Thus, OOCL’s attacks on Kastin’s verification based on his personal knowledge or lack thereof are simply irrelevant.<sup>50</sup>

OOCL had ample opportunity to explore the development of BBY’s shortfall spreadsheets. OOCL’s focus on Kastin’s lack of knowledge, when Kastin had nothing to do with preparing the data files, is utterly irrelevant.<sup>51</sup>

## 2. BBY’s Count I reparations calculations are accurate and reliable.

OOCL misstates BBY’s burden in proving its reparations calculations as to Count I. OOCL begins by attacking the McCown Report Appendices A-1 through B-4. (Opp’n Br. at 65-66.) As discussed above, OOCL’s contention is misplaced because those Appendices are summaries reliable and accurate data drawn from the files of BBY and its service providers. McCown’s personal knowledge of that data is not relevant to the evidentiary value of that data or the Appendices based on it—and indeed, an expert witness virtually never has personal knowledge of underlying client data provided in discovery.<sup>52</sup> Rather, the McCown Report Appendices constitute McCown’s opinion evidence, which provides further support for accepting the

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<sup>50</sup> OOCL “urge[s]” the Presiding Officer to reconsider her Strike Order based on OOCL’s demonstrably wrong interpretation of *Computer Network Corp. v. Spohler*, 95 F.R.D. 500, 502 (D.C. Cir. 1982). (Opp’n Br. at 20 n.16.) OOCL provides no reason to disturb the Presiding Officer’s analysis in the Strike Order, which analyzed the distinction between the requirements for *verifications*, relevant here (no personal knowledge required), and *affidavits*, not relevant here (personal knowledge required). BBY discussed this specific distinction at length, (Strike Opp’n at 5-11), as did the Presiding Officer, whose admonition to OOCL to “read the entire case which they cite” was premised on exactly the same failure OOCL re-advances here: an unfaithful reading of *Computer Network*. (Strike Order at 6.)

<sup>51</sup> OOCL’s focus on Kastin’s personal knowledge is part of an overarching strategy by OOCL counsel to draw focus away from the actual claims and evidence in the case, and instead recast the case as a “breach of contract” action. Comparing, for example, OOCL’s counsel’s deposition questions to Kastin (Opp’n Br. at 15 (quoting RPFF 570), 16-17 (quoting RPFF 572), 17-18 (quoting RPFF 574, Kastin Tr. 42:19-43:3; 44:10-46:13) [APP-1152-53]) with BBY’s interrogatory responses regarding BBY’s shortfall spreadsheets (Dep. Ex. 326 [APP-3343-3353]), it is clear that OOCL asked those questions purely from the standpoint of OOCL’s discredited strategy of recasting BBY’s claims as “breach of contract” claims, and is now advancing that erroneous framing. Kastin’s first-hand knowledge is inapposite to BBY’s reparations calculations.

<sup>52</sup> The same principle extends to Kastin’s and Cunniff’s personal knowledge.

calculations and analyses contained therein.<sup>53</sup> Notably, OOCL fails to provide any alternative methodology or calculation, even from its own purported experts. (R514-520.)

Moreover, OOCL provides no support, case law, evidence, or otherwise, suggesting the evidence presented in support of BBY's Count I reparations is insufficient to show whether "the shipments in Appendices A-1 to B-4 correlated to any shipments not carried by OOCL that should have been." (Opp'n Br. at 65-66.) BBY's reparations claims are not premised on correlating individualized rejections by OOCL of specific containers of BBY's cargo with specific shipments that BBY had to make via alternative means, because OOCL's MQC shortfalls under the BBY Service Contracts did not arise from such specific rejections, but instead from *ab initio* a systematic failure to provide cargo space. OOCL's contention that "Patrick Hackett admitted that BBY's NVO shipments were due to shortfalls from both OOCL and other carriers, defeating BBY's own claim that all the cited NVO shipments were made necessary solely by OOCL's alleged failures", (Opp'n Br. at 66 (citing Hackett Tr. 272:20-23 [APP-881])), is inapposite. That testimony simply stands for the proposition that BBY experienced MQC shortfalls under its service contracts with OOCL *and* other carriers. It does not undermine the validity of BBY's shortfall claims and reparations calculations with respect to OOCL, which were specifically premised on OOCL's failures and shipments during the terms of the Service Contracts between port pairs that were supposed to have been covered by those Service Contracts. [REDACTED]

[REDACTED]

[REDACTED]

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<sup>53</sup> As described in BBY's *Daubert* Opposition, McCown reviewed: "(1) deposition testimony of over 20 deponents in this proceeding, (McCown Dep. Tr. 118:13-14; McCown Report Appendix D), (2) cited to hundreds of documents in Appendix D to his Report (many from discovery in this proceeding) (McCown Report Appendix D), (3) cross-checked the numbers alleged in the Complaint against record evidence and publicly available data, (McCown Dep. Tr. 118:23-24, McCown Report ¶17), (4) cited figures that "came from [BBY], from their professionals" (McCown Dep. Tr. 122:15-17), and (5) cited to dozens of other sources including OOCL's own interim and annual reports (McCown Report Appendix D)." (*Daubert* Opp. at 5.)

██████████ This is precisely the same but-for damages method approved by the Commission in calculating damages in the *MCS Industries* case. *See MCS Indus., Inc. v. MSC Mediterranean Shipping Co. S.A.*, FMC Dkt. No. 21-05, 2024 WL 3514613 at \*14-20 (FMC Jul. 16, 2024).

With respect to BBY's reparations for PSS and other surcharges, OOCL quibbles that BBY "does not provide a breakdown between PSS (peak season surcharge), undefined 'other surcharges,' and so-called premium contracts." (Opp'n. Br. at 66.) As discussed above, BBY's Supplemental Interrogatory Responses describe in granular detail the calculations underlying BBY's PSS damages, wherein it: (1) merges container-level data from P-0000353819 and P-0000810432, (2) compares the cost of containers *actually* shipped with OOCL on relevant lanes during each Shipping Year with the what is *should have* cost pursuant to the respective Service Contracts to (3) calculate the amounts charged by OOCL to BBY in excess of what those containers should have cost had OOCL honored its service commitments. (Hill Decl. ¶¶ 15-20.) OOCL provides no authority or support for its contention that BBY is required to separate OOCL's unreasonable PSS charges from other extracontractual surcharges. OOCL is liable for all of them. OOCL utterly fails to address the fact that its own expert, Steffen, testified that he would calculate the damages related to BBY's claims for PSS/premium charges *in precisely the same way as the formula BBY did*. (R520.)

To the extent OOCL raises merits arguments in response to BBY's claims for reparations, those have been addressed above. OOCL's arguments premised on BBY and OOCL having agreed to the Service Contracts and related amendments have likewise been addressed above.

**B. Count II (“Unjust and unreasonable assessment of Detention and Demurrage Charges”)**

As to Count II reparations, OOCL’s arguments mirror those it advances against Count I: re-raising merits arguments addressed above and otherwise failing to identify any valid errors in BBY’s calculations. (Opp’n. Br. at 67-70.) OOCL’s arguments as to BBY’s reparations calculations under Count II thus fail for the same reasons.

Just as with Count I, OOCL misstates BBY’s burden in proving its reparations calculations as to Count II. OOCL begins by attacking the McCown Report Appendix C. (Opp’n Br. at 67-68.)<sup>54</sup> As discussed above, OOCL’s contention is misplaced because Appendix C is just a summary of reliable and accurate data drawn from BBY’s files. McCown’s personal knowledge of that data is not dispositive and Appendix C constitutes McCown’s opinion evidence, which provides further support for accepting the calculations and analyses contained therein. As described in the Hill Declaration: “P-0000353819, as the basis for Appendix C to the Expert Report of John McCown, contains containers and amounts of detention and demurrage used to calculate BBY’s detention and demurrage-related reparations.” (Hill Decl. ¶ 14; *see also id.* ¶¶ 8-9.) The rows in the spreadsheet at bates number P-0000353819 contain data relating to other carriers as well as OOCL, but the damages calculations are based only on OOCL containers. (Ex. 329 (P-0000353819 [APP-3358].))

Here again, OOCL cannot premise an argument against this based on its own failure to test the evidence of which ample notice and opportunity to investigate, including through depositions or otherwise. OOCL likewise fails to identify any errors in BBY’s methodology or calculations,

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<sup>54</sup> As discussed above, OOCL’s contentions regarding (1) the *TCW* framework for analyzing reasonableness under Section 41102(c), (2) evidence of severe port congestion and supply chain disruptions during the pandemic, (3) BBY’s disputation of OOCL’s unreasonable D&D charges, (4) the overall unreasonableness of OOCL’s D&D charges, and (5) the comparability of Trailer Bridge’s D&D rates to OOCL’s rates are each meritless. (Arg. § II.)

much less any errors that contravene authority other than OOCL's own say-so. *Critically, OOCL fails to provide any alternative methodology or calculation, even from its own purported experts, effectively conceding BBY's damages calculations are correct.* (R521-525.) Instead, OOCL simply recites McCown's deposition testimony relating to whether McCown himself knew of underlying evidence submitted by BBY that OOCL's D&D charges were unreasonable. (Opp'n Br. at 68.) Setting aside merits arguments, as is proper in the context of reparations calculations, Appendix C and the underlying data clearly set out BBY's calculations based on D&D charges assessed by OOCL, and nothing more is required.

Finally, as to OOCL's contentions regarding Trailer Bridge's benchmark rates, the merits of the comparison between Trailer Bridge's more reasonable rates and OOCL's unreasonable rates have already been discussed above. As to that comparison's relevance to reparations, OOCL misapprehends BBY's argument: BBY contends that OOCL is liable for reparations equaling the *total amount* of charges discussed in BBY's AOB, because such charges should not have been assessed in the first place. (AOB at 94.) The Trailer Bridge rates serve two other functions. *First*, they demonstrate that OOCL's D&D penalty *rates* were generally unreasonable. *Second*, they provide a comparison of other, much lower rates actually charged by a carrier, to show that any direct or opportunity costs are much lower than the actual rate levels charged by OOCL. Simply put, there are two components to BBY's D&D claims: (1) that it (in light of the incentive principle and lack of any direct or opportunity costs because OOCL admitted its ships sailed full) was unreasonable to impose *any* charges in light of conditions at the ports, and (2), even if it had been appropriate to charge any fees, OOCL's rates were unreasonably high. (AOB at 59.)

### C. Count III ("Conduct not in accordance with Service Contracts")

OOCL fails to address this section of the AOB, conceding it. (AOB at 95.)

**D. Count IV (“Retaliation”)**

BBBY’s entitlement to statutory doubling of certain of its reparations claims is discussed above. OOCL otherwise fails to address this section of the AOB, conceding it. (AOB at 95-96.)

**E. Count V (“Unreasonable refusals to deal or negotiate”)**

OOCL fails to address this section of the AOB. (AOB at 96-97.) BBBY’s entitlement to statutory doubling is addressed above and BBBY’s entitlement to lost profits is addressed below.

**F. Lost Profits**

OOCL’s primary contention as to BBBY’s lost profits calculations is that “[p]er container average profit in aggregate cannot measure with reasonable certainty lost profits.” (R513.) That, of course, ignores governing authority and is premised solely on statements by OOCL’s purported expert Steffen, who is not a credible or reliable expert and who has no relevant shipping experience.<sup>55</sup> BBBY’s AOB discussed in detail the legal standards governing lost profits calculations as applied by the Commission in *OJ Commerce* as well as support from other federal precedent. (AOB at 97 (quoting *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 2022 WL 2209421, at \*3 (FMC June 10, 2022)) (a showing of actual damages “does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.”).) Thus, only a “reasonable approximation” of damages caused and “reasonable certainty” that the “wrongful act caused the loss of profits” is required. (*Id.* at 97-98 (quoting *Tractors & Farm Equip. Ltd. v. Cosmos Shipping Co.*, FMC Dkt. No. 81-57, 26 S.R.R. 788, 798-99 (FMC ALJ Nov. 23, 1992), admin. final (Dec. 31, 1992)).) OOCL fails to engage with these standards and instead simply mischaracterizes BBBY’s Lost Profits Analysis spreadsheet, which

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<sup>55</sup> OOCL’s contentions as to the merits underlying BBBY’s entitlement to lost profits are addressed under the respective Counts above.

BBBY's AOB discussed in detail. (AOB at 98 (citing Dep. Ex. 401, the "Lost Profits Analysis" [APP-4008]; C531).)

As to what BBBY must show, OOCL proffers a groundless standard of its own making in an effort to fault BBBY for not providing evidence as to (1) a correlation between the shipments in the Lost Profits Analysis spreadsheet with specific declined or attempted bookings and (2) the personal knowledge of Cunniff, the former BBBY employee who compiled BBBY's Lost Profits Analysis spreadsheet. None of that information is necessary here, and OOCL ignores the detailed evidence provided supporting the calculations provided by BBBY. (AOB at 98-100.) OOCL fails to even identify the correct evidence BBBY provided in support of its lost profits calculations, referring vaguely to "two tables" (which from context appears to be referring to McCown Report Appendices A-1 to B-4) and McCown and BBBY's "incremental expenses damages." (Opp'n Br. at 61.)<sup>56</sup> As BBBY's AOB described, the focus of BBBY's lost profits calculations is the Lost Profits Analysis spreadsheet, which assumes the MQC shortfalls reflected in McCown Report Appendices A-1 to B-4 and the data thereto on which they are based.

OOCL similarly contends that Cunniff's Lost Profits Analysis was not "based upon the containers that OOCL allegedly declined to carry" and instead assumed "that the profit-per-container number in his spreadsheet is based on the aggregate value of all of the goods shipped during the period he evaluated." (R513.) But that, as a legal matter, is all that is required for a reasonable estimate of lost profits. *See OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud North America, Inc.*, FMC Dkt. No. 21-11, 2024 WL 4034610, at \*21-23 (FMC Aug. 27, 2024) (approving damages calculation

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<sup>56</sup> The irrelevance of the "list of declined or attempted bookings" that OOCL repeatedly raises or McCown's personal knowledge of same has been extensively addressed herein. (Opp'n Br. at 61.) Both issues are also irrelevant to BBBY's lost profits claims, particularly given that the legal standard requires only an approximation, not an exact accounting.

on basis of detailed spreadsheet submitted by Complainant reflecting actual shipments). None of BBY's claims or entitlements to reparations, including lost profits, depends on a 1-to-1 correlation between the specific bookings or containers that OOCL rejected and other bookings or containers that BBY did in fact book or ship. OOCL's references to Tabs 2-3 and Sales included in the Lost Profits Analysis spreadsheet, (R513), are likewise unavailing. Similarly, BBY was not required to provide "evidence of the goods carried within the containers that OOCL purportedly declined to carry" or "evidence of the cost of such goods" or "that such goods ever sold." (R513; *see also* Opp'n Br. at 62-63.)

In a creative but meritless turn, OOCL argues that because BBY was operating at a loss during 2020-2022, and subsequently filed for bankruptcy, it could not have earned a profit on any goods it sold. (R513, Opp'n Br. at 62.) That argument is unavailing; BBY did derive revenue from sales of those goods, which kept the company afloat. And, as discussed in BBY's AOB, this argument, which is based on the analysis of OOCL's expert, Steffen, is meritless because, as Steffen himself conceded, companies with operating losses prior to bankruptcy can still lose profits and pursue lost profits claims. (AOB at 99-100 (citing C545).) OOCL's decision to press this argument, even after its own expert obliterated it, is inexplicable.

As to Cunniff's actual calculations and work underlying the Lost Profits Analysis spreadsheet, OOCL ignores the detailed description of that work provided in BBY's AOB, as well as the fact that BBY's calculations were validated by OOCL's own expert, Steffen. (AOB at 99-100 (citing C543).)<sup>57</sup> Instead, OOCL contends that Tabs 1-3 of the Lost Profits Analysis spreadsheet "do not include sales commissions, marketing costs, or fulfillment center costs."

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<sup>57</sup> As to the data sourced from BBY's vendor, Berman Blake, Cunniff testified that Berman Blake's work for BBY included validating such data. (Cunniff Dep. Tr. at 102:18-20 [APP-298].)

(Opp’n Br. at 63-64.)<sup>58</sup> OOCL does not explain the relevance of this information, much less why such information would be required for a lost profits analysis. In any case, none of this information is necessary to arrive at the reasonable approximation of lost profits required under the relevant legal standards. *OJ Commerce, LLC*, 2024 WL 4034610, at \*21-23

## VII. The Presiding Officer Has Jurisdiction to Adjudicate This Proceeding.

OOCL’s position that the Commission lacks subject matter jurisdiction over BBY’s Counts I and III-V,<sup>59</sup> (Opp’n Br. at 82-92), contravenes well-established law and should be disregarded.<sup>60</sup> The Presiding Officer has jurisdiction over BBY’s claims under 46 U.S.C. §§ 41104(a) and 41102(c), and is bound by controlling Commission precedent to adjudicate them.

The Commission has subject matter jurisdiction over all claims in this action pursuant to the Shipping Act and, in particular, 46 U.S.C. Sections 41301 through 41309. Each of the claims alleged by BBY seeks *statutory* remedies—*i.e.*, reparations—for alleged violations of the *statutory* protections and prohibitions of the Shipping Act, and BBY’s complaint does not allege any breach of contract claims, despite OOCL’s insistence to the contrary. (Opp’n Br. at 82-87.)

The Commission’s obligation to hear Shipping Act claims extends even to cases where the relevant facts may also give rise to other claims between the parties, and even where the parties have already obtained relief for those claims in another forum. *See MCS Indus., Inc. v. MSC Mediterranean Shipping Co. S.A.*, FMC Dkt. No. 21-05, 2024 WL 95383, at \*7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, FMC Dkt. No. 02-04, 30

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<sup>58</sup> The remainder of OOCL’s arguments to these Tabs relates to the previously discussed, irrelevant correlation exercise OOCL describes between the shipments reflected in the Lost Profits Analysis spreadsheet and shipments or goods booked or attempted to be booked with OOCL. That mis-framing has been addressed repeatedly throughout this brief and OOCL’s arguments premised on such mis-framing should be rejected.

<sup>59</sup> OOCL concedes jurisdiction with respect to Count II. (Arg. § II.A.)

<sup>60</sup> BBY has herein responded to OOCL’s baseless arguments, in the face of clear Commission guidance under the Shipping Act, regarding the Presiding Officer’s authority to adjudicate this proceeding. BBY does not waive any of its rights or arguments available upon appeal as to any of OOCL’s arguments in its Opposition Brief as to whether BBY has adequately stated claims for Counts I-V or whether the Commission has jurisdiction over this case.

S.R.R. 991, 2006 WL 2007808, at \*10-11 (FMC May 10, 2006). As the Presiding Officer already noted in the Partial Decision Order in this case, even if certain of BBBY’s claims could *also* form the basis for a claim of breach of contract in another forum, the Commission nonetheless has jurisdiction over the claim because it asserts violations of the Shipping Act. *See* Order at 5-8, FMC 23-02, Dkt. No. 29 (Sept. 28, 2023) (discussing cases); *[BBBY] v. Evergreen Line Joint Serv. Agr.*, FMC Dkt. No. 24-12, 2024 WL 3317830, at \*7-10 (FMC ALJ Jun. 26, 2024) (Order Denying Motion for Partial Dismissal of the Complaint) (similar claims by BBBY relating to Evergreen service contract violations were well-pled Shipping Act claims and “the Commission in fact has an obligation to hear well-pleaded Shipping Act claims, over which it has exclusive jurisdiction”).

Count III in particular is explicitly brought under 46 U.S.C. Section 41104(a)(2), which prohibits a carrier from providing service in the liner trade that is “not in accordance with the rates, charges, classifications, rules, and practices contained in . . . a service contract . . . .” *Id.* By the plain language of that statute, claims thereunder *necessarily* arise in the context of a service contract. If, as OOCL urges, the mere existence of a service contract between the parties were sufficient to cause 46 U.S.C. Section 40502(f) to trump all of the statutory protections that the Shipping Act affords to shippers—including statutory protections such as this one, which applies *specifically* to service contract relationships—then Section 41104(a)(2) would be a dead letter. Such a result cannot be reconciled with the express statutory language and must be rejected.

None of BBBY’s claims is “essentially” a simple breach of contract claim. BBBY has demonstrated that OOCL’s practices of systematically failing to meet its service commitments to BBBY (and other shippers) and seeking to coerce BBBY (and other shippers) to pay PSS and enter into premium rate contracts constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in BBBY’s Service Contracts with OOCL. Thus,

Counts I and III address consistent practices in violation of the Shipping Act affecting BBY *and* other shippers on a systematic basis. Counts IV and V relate to specific prohibited refusals to deal and retaliation against BBY and are explicitly (and exclusively) Shipping Act claims.

The Commission’s recent decision in *MCS Industries* controls and holds that the Commission has jurisdiction. In that case, the Commission ruled that “[a]s a threshold matter, the Commission found that the FMC’s Administrative Law Judges (“ALJ”) had properly determined that the FMC has jurisdiction over MCS’s claims and that those claims were adequately stated.” *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. S.A.*, FMC Dkt. No. 21-05 (FMC Jan. 3, 2024), *aff’d*, FMC Dkt. No. 21-05 at 9 (FMC Jul. 16, 2024) (citing the January 2024 Order [ECF 68] at 11-14); *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05, 2022 WL 458569, at \*4 (FMC ALJ Feb. 4, 2022).<sup>61</sup> That case, like this one, asserted Shipping Act claims arising from service contract shortfalls, reallocation of space to spot market purchasers, and wrongful imposition of fees and surcharges. Accordingly, *MCS Industries* is squarely applicable here, and the Presiding Officer is bound to follow it.<sup>62</sup>

As the Presiding Officer has previously explained in decisions in two recent cases, the Commission “has an obligation to determine whether an entity has violated the Shipping Act, even when the allegations may constitute both breach of contract claims and claims that the entity

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<sup>61</sup> The cases cited by Respondents do not support their defenses. *D.L. Piazza Co. v. West Coast Line, Inc.*, 3 F.M.C. 608, 616 (1951) simply held that while the shipper’s rate called for their exclusive use of the ship, the carrier’s justified decision to offer unused space to others was a rate-making issue not connected to the handling, storing, or delivering of property. The claims here present a much broader course of alleged conduct and widespread coercive measures not present in *D.L. Piazza*. Further, the Presiding Officer in *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419–20 (Decision by Examiner, Oct. 18, 1962), explained that the provision regarding the receiving, handling, storing, and delivering of property indeed can relate to shipping practices including the refusal to deliver cargo, and can govern certain practices by a carrier that, when carried out over a series of actions, violated the Shipping Act.

<sup>62</sup> OOCL’s reliance on *Global Link Logistics*, 2014 WL 5316345, at \*11, is misplaced. *Global Link* is easily distinguished because it focused solely on allegations of administrative errors in the performance of a contract and did not involve, as the instant case does, consistent and systematic patterns of unjust and unreasonable conduct regarding lack of space allocation, surcharges, and detention and demurrage charges, let alone refusals to deal and retaliation prohibited by the Shipping Act. *Id.* at \*11, \*20 (quoting *Cargo One, Inc. v. COSCO Container Lines Co.*, FMC Dkt. No. 99-24, 28 S.R.R. 1635, 2000 WL 1648961, at \*14 (FMC Oct. 31, 2000)).

violated the Shipping Act.” *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11, 2022 WL 538935, at \*4 (FMC ALJ Feb. 18, 2022); *accord MCS Indus., Inc.* 2022 WL 458569, at \*5-6.

#### **VIII. The Presiding Officer Has Constitutional Authority to Adjudicate This Proceeding.**

Like its baseless jurisdictional argument, OOCL’s argument that tenure protections for the FMC’s ALJ render this proceeding constitutionally defective contravenes well-established law. OOCL argues that removal protections for FMC ALJs are unconstitutional; that, in turn, *all* proceedings heard by FMC ALJs are constitutionally defective and must be halted indefinitely pending the creation of new removal protections; and that the lack of a trial in this proceeding constitutes an abolishment of the right to a hearing. These arguments should be disregarded.

Congress created ALJs nearly 80 years ago in the Administrative Procedure Act. *See* Pub. L. No. 79-404 § 11, 60 Stat. 237, 244 (1946) (the “APA”). The APA established that ALJs “shall be removable by the agency in which they are employed only for good cause established and determined by the Civil Service Commission.” *Id.* This was subsequently codified in 5 U.S.C. Section 7521(a), which states that ALJs can be removed by their appointing agency only where good cause is both “established and determined by the Merit Systems Protection Board.” *Id.* This serves to rebut any potential appearance of ALJs serving as “mere tools of the agency,” *Ramspeck v. Fed. Trial Examiners Conf.*, 345 U.S. 128, 131 (1953), providing ALJs with a “qualified right of decisional independence”. *Nash v. Califano*, 613 F.2d 10, 15 (2d Cir. 1980); *see also Butz v. Economou*, 438 U.S. 478, 513 (1978) (“[T]he process of agency adjudication is . . . structured so as to assure that the hearing examiner exercises his independent judgment on the evidence before him, free from pressures by the parties or other officials within the agency.”).

Where a department head has the power to appoint an inferior officer, Congress has the power to “limit and restrict the power of removal as it deems best for the public interest.” *United*

*States v. Perkins*, 116 U.S. 483, 485 (1886). Congress’s power to regulate “removals in the case of inferior executive officers” comes from the Appointments Clause of the U.S. Constitution. *Myers v. United States*, 272 U.S. 52, 127 (1926). Insofar as the “power to remove” is tied to “the power to appoint,” Congress’s power to regulate removals is tied “to the exercise of its constitutional power to vest appointments.” *Id.* at 161; *see also Perkins*, 116 U.S. at 485 (“The constitutional authority in Congress to thus vest the appointment implies authority to limit, restrict, and regulate the removal”). However, Congress’s ability to regulate the removal of inferior officers is not unlimited, and removal restrictions cannot “impermissibly burden[] the President’s power to control or supervise” the Executive Branch. *Morrison v. Olson*, 487 U.S. 654, 692 (1988).

Within this context, OOCL inaccurately cites *Free Enterprise Fund v. Pub. Co. Acct. Oversight Bd.*, 561 U.S. 477 (2010), in support of its sweeping argument that ALJ removal protections are unconstitutional. In *Free Enterprise Fund*, the Supreme Court held that Congress overstepped the limits of its power to regulate removal in making members of the Public Company Accounting Oversight Board (the “PCAOB”) removable for cause by the SEC, with the SEC’s Commissioners in turn removable for cause by the President. *See id.* at 492. The Supreme Court held that these two layers of tenure protection “deprive[d] the President of adequate control over the Board.” *Id.* at 508. Importantly, the Supreme Court did **not** find any categorical rule that multiple layers of tenure protection always violate Article II of the Constitution, and the Court specifically stated that its holding **did “not address** that subset of independent agency employees who serve as administrative law judges”, such as the FMC’s ALJs. *Id.* at 507 n.10 (emphasis added). The Court expressly held that “unlike members of the Board, many administrative law judges of course perform adjudicative rather than enforcement or policymaking functions.” *Id.*

Accordingly, the purely adjudicative functions of FMC ALJs separate them from the PCAOB members in *Free Enterprise Fund*, and Congress has broader discretion to regulate their removal. This principle has been repeatedly recognized by the U.S. Courts of Appeals. *See, e.g., Leachco, Inc. v. Consumer Prod. Safety Comm’n*, 103 F.4th 748, 764 (10th Cir. 2024); *Rabadi v. U.S. Drug Enforcement Administration*, 122 F.4th 371, 375-76 (9th Cir. 2024); *Calcutt v. FDIC*, 37 F.4th 293, 318 (6th Cir. 2022), *rev’d on other grounds*, 143 S. Ct. 1317 (2023); *Decker Coal Co. v. Pehringer*, 8 F.4th 1123, 1133 (9th Cir. 2021). OOCL attempts to mischaracterize *Leachco*, in which the U.S. Court of Appeals for the Tenth Circuit held in part that removal protections for Consumer Protection Safety Commission ALJs were constitutional because of their “purely adjudicatory function”—as an outlier ruling, when in fact it is the opposite. *Leachco*, 103 F.4th at 764. It is *Jarkesy v. SEC*, 34 F.4th 446, 464 (5th Cir. 2022), *aff’d on other grounds*, 144 S. Ct. 2117 (2024)—which OOCL claims has “most notably” led in holding that removal restrictions for ALJs are unconstitutional—that is an outlier decision. The Tenth Circuit noted in *Leachco* that the U.S. Court of Appeals for the Fifth Circuit in *Jarkesy* “seemed to disregard the distinction between the PCAOB members in *Free Enterprise Fund*, who exercised executive functions, and ALJs, who perform adjudicatory functions.” *Leachco*, 103 F.4th at 764; *see also H&R Block Inc. v. Himes*, No. 24-00198-CV-W-BP, 2024 WL 3742310, at \*5 n.7 (W.D. Mo. Aug. 1, 2024) (explaining that the Fifth Circuit relied on “reasoning that has been rejected by other courts that have addressed the issue”). Accordingly, most circuits that have addressed challenges to removal protections for ALJs have rejected those challenges, as the district court acknowledged in the *VHS Acquisition* decision that OOCL also cites. *See VHS Acquisition Subsidiary No. 7 v. NLRB*, No. 1:24-cv-02577 (TNM), 2024 WL 5056358, at \*8 (D.D.C. Dec. 10, 2024) (noting that its agreement with the Fifth Circuit’s conclusion in *Jarkesy* ran contrary to the conclusions of “the Sixth, Ninth, and Tenth Circuits”);

*see also, e.g., Calcutt v. FDIC*, 37 F.4th 293, 318 (6th Cir. 2022), *rev'd on other grounds*, 143 S. Ct. 1317 (2023) (“*Free Enterprise Fund* explicitly excludes ALJs from its prohibition on multiple levels of for-cause removal protection”); *Decker Coal Co. v. Pehringer*, 8 F.4th 1123, 1133 (9th Cir. 2021) (the fact that U.S. Department of Labor ALJs perform “a purely adjudicatory function” supported the conclusion that “the President has sufficient control over [those] ALJs to satisfy the Constitution” where removal of ALJs was only permitted for good cause established and determined by the Merit Systems Protection Board).

The President’s power to control inferior officers—and in turn, Congress’s power to regulate their removal—is shaped in part by “the functions of the officials in question.” *Morrison*, 487 U.S. at 691; *see also Myers*, 272 U.S. at 132 (“The degree of guidance . . . that the President may exercise over executive officers varies with the character of their service.”). Unlike the inferior officers who exercised both substantial policymaking and law-enforcement powers in *Free Enterprise Fund*, *see* 561 U.S. at 508 (observing that the PCAOB “is the regulator of first resort and the primary law enforcement authority for a vital sector of our economy”), the function of FMC ALJs is to resolve cases involving alleged violations of the Shipping Act and other laws within the Commission’s exclusive jurisdiction. Thus, removal protections for FMC ALJs do not raise the concern that the power to make important policy decisions “may slip from the Executive’s control, and thus from that of the people.” *Id.* at 499.

The core issue regarding removal protections under Article II is **not** whether there are multiple of layers of removal protection for an inferior officer, but rather whether the relevant statutory scheme in its totality “deprive[s] the President of adequate control” over the inferior officer’s exercise of executive power. *Id.* at 508; *see also SEC v. Bilzerian*, 750 F. Supp. 14, 17 (D.D.C. 1990) (“the real question to be answered is whether the removal restrictions impede the

President’s ability to perform his constitutional duty.”). Importantly, the Commission has ample control over FMC ALJs, and as OOCL itself admits, FMC ALJs exercise their power “[s]ubject to the procedures and review of the Commission.” (Opp’n Br. at 100.)

While the Commission can assign ALJs to oversee proceedings, members of the Commission have discretion to preside over proceedings themselves. *See* 46 C.F.R. §§ 502.25(a), (d). While FMC ALJs are empowered to issue initial decisions, the Commission has the power to review all initial decisions either by request of a party or on its own initiative before such initial decisions become an official decision of the Commission. *See* 46 C.F.R. § 502.227(a)(3). Upon the filing of exceptions to, or review of, an initial FMC ALJ decision, the initial decision becomes inoperative until the Commission determines the matter. *See* 46 C.F.R. § 502.227(a)(5); *see also Sea-Land Service, Inc. v. FMC*, 653 F.2d 544, 550 (D.C. Cir. 1981) (noting that the Commission is not bound by an ALJ’s findings of fact or conclusions of law and on appeal or review of an initial decision the Commission has all the powers it would otherwise have in making the initial decision). Moreover, decisions or orders of dismissal by ALJs can only be considered final for purposes of judicial review if a party first seeks review by the Commission. *See* 46 C.F.R. § 502.227(a)(4). Accordingly, the broad authority of the Commission exercises over FMC ALJs establishes a constitutionally appropriate level of control to permit tenure protections. *See Leachco*, 103 F.4th at 764 (Consumer Product Safety Commission ALJs were not unconstitutionally insulated by tenure protections where their decisions were “subject to review” and the Commission was “not require[d]” to use ALJs in adjudications).

In turn, the President has significant control over the Commissioners, and through them, FMC ALJs. The President retains the power to appoint Commissioners and to designate a chairperson. *See* 46 C.F.R. § 501.2(b). The President also has the power to remove Commissioners

for “inefficiency, neglect of duty, or malfeasance in office.” 46 C.F.R. § 501.2(c)(2). Moreover, Commissioners can only serve limited terms before the President chooses their replacements. *See* 46 C.F.R. § 501.2(c)(4). This degree of control further negates OOCL’s argument that FMC ALJs receive any degree of unconstitutional insulation. *See, e.g., SEC v. Blinder, Robinson & Co.*, 855 F.2d 677, 682 (10th Cir. 1988) (holding with regard to SEC commissioners and ALJs that the President had “sufficient control over the commissioners” where he has the power to appoint commissioners, the power to choose a chairman, and the power to remove commissioners for “inefficiency, neglect of duty, or malfeasance in office”). OOCL’s halfhearted argument against the Merit Systems Protection Board (“MSPB”) is similarly ineffective. ALJs have been subject to the “good cause” removal standard since 1946, and the MSPB has been established since 1978. *See* APA § 11, 60 Stat. 244; Civil Service Reform Act of 1978, Pub. L. No. 95-454, § 1202(d), 92 Stat. 1111 (1978); *see also Trump v. Mazars USA, LLP*, 591 U.S. 848, 862 (2020) (“[L]ongstanding practice is a consideration of great weight in cases concerning the allocation of power between the two elected branches of Government”) (quotations and alteration omitted). This well-established “good cause” standard provides the FMC and the President with sufficient and constitutionally valid control over FMC ALJs. *See Decker Coal*, 8 F.4th at 1135 (“an ordinary ‘good-cause’ standard on the MSPB’s authority to remove an ALJ[] suggests a lesser impingement on presidential authority than was present in *Free Enterprise Fund*”).

Accordingly, there is no basis for OOCL’s argument that the Presiding Officer is not constitutionally authorized to adjudicate this hearing or for OOCL’s claim that the absence of a hearing or trial violates its rights, and both arguments should be squarely rejected.<sup>63</sup>

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<sup>63</sup> OOCL also claims in passing that the lack of an oral hearing in this proceeding constitutes an abolishment of the right to a hearing. This is inaccurate, as it rests within the discretion of the Presiding Officer to “determine whether an oral hearing is necessary” in response to requests for one. 46 C.F.R. § 502.62(a)(5), (b)(3).

## CONCLUSION

BBBY has proved its claims. The Presiding Officer should award reparations in the amounts requested in the AOB, as well as interest and attorneys' fees.

Dated: March 20, 2025

Respectfully submitted,

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*Certificate of Service*

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